SG CAPITAL PARTNERS

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UNDERWRITING MANUAL

SGCP PRIME AND PLUS with FLEX CONNECT PROGRAMS

FOR INTERNAL USE ONLY

5.4.2026

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1 OVERVIEW

This Underwriting Manual outlines the requirements for underwriting residential mortgage loans sold to SG Capital Partners ("SGCP"). This document is an integral part of the loan underwriting process and should be reviewed in conjunction with all potential fundings.

The Underwriting Manual may not include all provisions or documents establishing the relationship between an originator and SG Capital Partners, and is not intended to replace, modify, or otherwise alter the terms of a respective counterparty's Seller Agreement or any other applicable agreement.

SG Capital Partners seeks to fund residential mortgage loans made to mortgagors with stable incomes and employment histories and fully verified income and assets. All loans funded by SG Capital Partners will be examined and evaluated to determine whether the proposed loans generally conform to these guideline parameters. The qualifying specifications and procedures are meant to serve as a principal foundation to qualify, and each borrower will be reviewed in its entirety on an individual basis. SG reserves the right to decline any loan that they believe is not in the best interest of the Borrower or does not meet the spirit of the guidelines.

Loans that do not conform to the provisions of this Underwriting Manual will be comprehensively reviewed by exception only. All applicable mitigating and compensating factors to a policy exception must be fully documented and will be reviewed and considered prior to granting or denying any request for approval.

2 UNDERWRITING CRITERIA

The SG Capital Partners guidelines are intended to reference and supplement Fannie Mae's Seller Guide. Refer to the Fannie Mae Seller Guide for specific information concerning qualification requirements that are not specifically referenced in the guidelines. All loans must be manually underwritten with the exception of the FLEX Connect product which will utilize FNMA's Automated Underwriting System (DU®/DO®) and FHLMC's Loan Product Advisor (LPA®). Schedule of real estate owned must be completed on the loan application for all properties showing on Credit or Fraud report

All Covered Loans must be designated as ATR compliant and must adhere to the standards set forth in the CFPB's Reg Z, Section 1026.43(c).

Federal, State, and Local High-Cost Loans are not permitted

Loans locked with SG Capital greater than 14 days post-origination are ineligible for delivery to SG Capital

<u>Statement on Suitability</u>
All loans are required to have evidence of agency ineligibility. This may be satisfied through a DU®/DO® or LPA® underwriting findings report in file verifying the loan does not qualify for delivery, or for reasons evidenced on the 1008. Alternatively, SG will accept a pricing engine printout evidencing more favorable pricing for the borrower.

3 PROGRAMS

- PRIME Connect and PLUS Connect
  - Full Doc – 2 years Income documentation
  - Express Doc – 1-year income documentation
  - Bank Statement – 12-or 24- months Personal or Business bank statements
  - 12/24 Month CPA P&L
  - FLEX Connect – FNMA DU®/DO® or FHLMC LPA® documentation and Bank Statement Income
    - Refer to 'FLEX Connect' section for program and guideline details
  - Asset Depletion – Drawdown of liquid assets to determine qualifying income
  - WVOE – Written Verification of Employment
- Closed-End Seconds – Refer to Closed-End Seconds Matrix for details

4 PRODUCT ELIGIBILITY

- 5/6 ARM (30- and 40-Year Amortization)
- 5/6 ARM I/O (30- and 40-Year Amortization)
- 7/6 ARM (30- and 40-Year Amortization)
- 7/6 ARM I/O (30- and 40-Year Amortization)
- 30yr Fixed
- 30yr Fixed I/O
- 40yr Fixed (not eligible for Flex)
- 40yr Fixed I/O

4.1 PRODUCT MATRIX

Please reference separate SGCP PRIME Connect, PLUS Connect, and FLEX Connect product matrices.

4.2 ADJUSTABLE RATE CRITERIA

Product	Index	Margin	Initial	Periodic	Ceiling	Minimum Interest Rate Floor
5/6 ARM	30-day SOFR	**4%**	2%	1%	5%	Margin
7/6 ARM	30-day SOFR	**4%**	5%	1%	5%	Margin

4.2.1 ASSUMABILITY

- ARM products are assumable after the fixed rate period with prior approval and qualification

4.2.2 INTEREST ONLY

PRIME Connect	Purchase: Max 85% LTV/CLTV Rate & Term: Max 80% LTV/CLTV Min 700 FICO
PLUS Connect	Min 680 FICO
FLEX Connect	Prime/Plus restrictions apply

Interest Only Period – 40 Year Interest Only = 10-year IO then 30-year amortization; Max 80%
30 Year Interest Only = 10-year IO then 20-year amortization; Max 85%

4.2.3 QUALIFYING RULES

ARM Qualifying Rate	Greater of Note Rate or the Fully Indexed Rate (rounded to the nearest .125) FLEX Connect – see 'FLEX Connect' section
Interest Only	Qualifying payment for I/O must include principal component Calculate payment based on: • the ARM qualifying rate or the fixed rate AND • a term that equals the amortization term (i.e., 360 months for 40 year I/O).

4.3 LOAN AMOUNT

Min Loan Amount (All Programs)	$125,000
Max Loan Amount	PRIME Connect - $3,500,000 PLUS Connect - $3,000,000 FLEX Connect - $2,500,000

4.4 MAX LTV

ALL PROGRAMS	MAX LTV/CLTV	PRIME CONNECT	PLUS CONNECT
No Escrows	85%	✓	Matrix Caps Apply
Condos (Warrantable) / Co-Ops	85%	✓	Matrix Caps Apply
Loan amount < 200k	85%	✓	Matrix Caps Apply
Condos (Non-Warrantable)	80%	✓	Matrix Caps Apply
First Time Homebuyer (FTHB)	85%	✓	Matrix Caps Apply
30 Year Interest Only	85%	✓	Matrix Caps Apply
40 Year Interest Only	80%	✓	Matrix Caps Apply
Flex Connect	80%	✓	Matrix Caps Apply
Asset Depletion	80% (Primary / Second Home)	✓	Matrix Caps Apply
	65% (Investment)	✓	✓
	60% (Cash-out)	✓	✓
Gift of Equity	75%	✓	✓
Bank Statement Income – 3rd Party Expense Ratio	80% (Purchase, Rate-Term)	✓	Matrix Caps Apply
	75% (Cash-out)	✓	✓
Profit & Loss (P&L) (Max UPB - $2,000,000)	80% (Purchase)	✓	Matrix Caps Apply
	75% (Rate-Term)	✓	✓
	70% (Cash-out)	✓	✓
WVOE (Max UPB $1,500,000)	80% (Purchase)	✓	Not Eligible
	70% (Rate-Term, Cash-out, FTHB)	✓	
Acreage > 10	80%	✓	Matrix Caps Apply
55% DTI	80% (Primary Homes)	✓	Matrix Caps Apply
Properties Listed for Sale w/in the Last 12 months	65% (Cash-out)	✓	✓
Declining Markets	5% reduction to max eligibility	✓	✓

Notes:
- Flex Connect – Follow the above Prime/Plus Connect Max LTV/CLTV
- All Doc Types - When supplemental sources of income are being used, the worst-case pricing and LTV/FICO caps apply

4.5 DEBT-TO-INCOME RATIO

PRIME Connect and PLUS Connect	Max 55%:	• 9 months reserves • Min 720 • Max $1.5M • No 40-yr term • No Interest Only • Max 80% LTV/CLTV on Primary Residence only • 2nd Homes/Investment properties are ineligible • No P&L, WVOE, or Asset Depletion income doc type as a primary or supplemental income source • No CPA provided expense ratio allowed • Cash-out ineligible
	Max 45%	LTVs/CLTVs >85%
	Max 50%	All other
FLEX Connect	Per DU®/DO®/LPA® (Max 50%)	
When Asset Depletion is used as a supplemental source of income, max DTI is 45%		

4.6 AGE OF DOCUMENTS

- All credit documents including credit report, income docs, and asset statements must be dated no more than 120 days prior to the note date.
- Appraisals are good for 120 days from effective date to note date. Any appraisal seasoned greater than 120 days will require a recertification of value. A recert of value will be permitted up to 180 days
- Updated documentation may be required at underwriter discretion
- A 10-calendar day variance over the stated age of documents is allowed to accommodate closings

4.7 PREPAYMENT PENALTIES

- Not permitted on primary residences or second homes

4.8 HPML

- Escrows for taxes and insurance will be required for 5 years
- Two appraisals are required to be delivered for flip transactions as defined by the CFPB
- Hybrid appraisal ineligible

5 ELIGIBLE BORROWERS

5.1 U.S. CITIZENS

If one borrower on the transaction is a US citizen, non-permanent resident guides do not apply

5.2 PERMANENT RESIDENT

- Permanent Resident Aliens are individuals who permanently reside in the United States
- A legible front and back copy of the borrower(s) valid Green Card

5.3 NON-PERMANENT RESIDENT

- A Non-Permanent Resident Alien is a non-U.S. citizen authorized to live and work in the U.S. on a temporary basis. Non-Permanent Resident Alien borrowers are eligible for all products and programs subject to restrictions below

  Program Restrictions:

  Borrowers below can be on title but can't use their income to qualify OR be a guarantor on the loan:
  - Borrowers with diplomatic immunity are ineligible

- Temporary Protected Status (TPS) associated with the borrower's country of origin must be in effect and has not been vacated on the USCIS website (www.uscis.gov) for the following: Temporary Protected Status (TPS), other types of temporary status, temporary stay, or parole associated with the borrower's country of origin. If the TPS or other types of temporary status, temporary stay, or parole of the country of origin have been vacated or shortened, the borrower is ineligible.
- Copies of the borrower's passport and unexpired VISA permitting employment in the United States is required.
  - If VISA renewal is in process or delayed, provide application for extension or renewal (adjustment of status).
  - Acceptable alternative documentation to verify visa classification is an I-797 form (Notice of Action) with valid extension dates and an I-94 form (Arrival/Departure Record). Borrowers unable to provide evidence of lawful residency status in the U.S. are not eligible for financing.
  - A valid employment authorization document (EAD) must be obtained if the visa is not sponsored by the borrower's current employer. If the visa expires within 3 months of loan application, it is acceptable to obtain a letter from the employer documenting the borrower's continued employment and continued visa renewal sponsorship (employer on the loan application must be the same as on the unexpired visa).
- The borrower(s) must have a minimum of 2 years legal residency and employment
- All parties involved in the transaction must be screened through exclusionary lists and must be cleared through OFAC's SND list.
- Borrowers from OFAC sanctioned countries are ineligible

- An EAD card with code C09 does not need an eligible visa
    - USCIS website (www.uscis.gov) to be checked to ensure the following have not been vacated: Temporary Protected Status (TPS), other temporary status or parole. The borrower is ineligible If any temporary immigration status of the country of origin have been vacated or shortened.

- Eligible VISA Types:

o E1, E2, E3	o L-1A, L-1B, L-2	oTN-1 Canadian NAFTA
o G1, G2, G3, G4, G5	o NATO 1-6	oTN-2 Mexican NAFTA
o H1	o O1	
o H-1B, H-1C	o R1	

5.4 FIRST TIME HOMEBUYER

First Time Homebuyer Definition

An individual is considered a First Time Homebuyer if all of the following apply:

- The individual is purchasing the subject property.
- The individual will occupy the subject property as their principal residence.
- The individual had no ownership interest, either sole or joint, in any residential property for at least 12 months during the 7-year period preceding the purchase date of the subject property.

- **Co Borrower Exception**
  If at least one borrower on the transaction is not a First Time Homebuyer, no additional FTHB restrictions apply.
- **LTV Limitation**
  Transactions with LTV greater than 85% are not permitted.
- **Rent Free Borrowers**
  Borrowers living rent free should refer to the “Housing History” section for additional requirements.
- Flex Connect - Follow the applicable FNMA or FHLMC Seller Guide requirements.

5.5 FIRST TIME INVESTORS

First Time Investor Definition

A First Time Investor is defined as a borrower who has not owned at least one commercial or residential investment property in the United States for a minimum of 6 months within the past 3 years.

- Min 700 FICO

5.6 NON-OCCUPANT CO-BORROWERS

- All Programs – Per FNMA
- Non-occupant co-borrowers are credit applicants who do not occupy the subject property
    - Must sign both the note and deed of trust/DOT
    - Must not have an interest in the property sales transaction, such as the property seller, builder, or real estate broker
- Blended ratios allowed

5.7 LIMITED PARTNERSHIPS, GENERAL PARTNERSHIPS, CORPORATIONS, LIMITED LIABILITY COMPANIES

- No layering of entities (i.e., LLC whose member(s) are a trust)
    - Personal guarantor required - Personal Guarantor must also sign closing documents and disclosures
    - All members of the entity must be a natural person
    - Final loan docs may not be signed with a POA
- Up to two entities allowed
    - Individual with $\geq$ 25% ownership must sign personal guaranty
- Non-profit 501 c3 – ineligible
- Series LLCs are ineligible

ENTITY	REQUIREMENTS
Corporation or LLC	• The borrower is at least 25% or majority shareholder • Business entity limited to SGCP's 4 maximum of "owners" = members, partners, or shareholders of the entity Members • Members of the business entity that are NOT borrowers on the transaction do not need to sign in the capacity of an individual borrower • A POA may not be used when closing in an LLC or Corporation. A notarized certificate of authorization may be used. • Entity must be established and registered in United States
General/Limited Partnership	• Additional owners may also be required to acknowledge or execute loan documents depending on language within the Partnership Agreement • Validation of the entity's status through review of the following documentation: o Annual Registration with the Secretary of State o Certificate of Good Standing from the Secretary of State within 90 days of closing that reflects no issues • Verification of authorized agent • Entity must be established and registered in United States

5.8 ENTITY IDENTITY REVIEW PROCESS

The seller will review entity documents to ensure the borrowing entity is duly formed with full authority to conduct real estate transactional and borrowing activity in the state of formation or proper foreign registration documents in business are being performed. Furthermore, entities with more than 1 member must provide evidence that the individual signing on behalf of the borrowing entity has the authority to conduct real estate transactions. Confirmation of good standing status must be reviewed on state websites to ensure borrowing counterparties are current on all state taxes and fees; in the state of formation and/or state business is being performed. Any entity must be in good standing and provide proper formation.

Borrower Entity Requirements:

- Allowable Entity Types: LLC, Sole Proprietorship, LP, LLP, S and C Corp
- At least one qualifying individual with $\geq$25% interest must sign a personal guarantee

Entity documentation:

- Operating Agreement/Bylaws or equivalent document based on state requirements, must include an authorization to encumber real properties and signing authority
- Certificate of Formation/Articles of Organization
- Certificate of Good Standing or equivalent document
- Certificate of Foreign Qualification or other qualification to operate in the state where business is being conducted (If the entity is formed in a state other than where business is being performed)
- EIN/W9 required
  - Single member LLCs can utilize the guarantor's SSN in lieu of an EIN number

5.9 INTERVIVOS REVOCABLE TRUSTS

- Permitted in accordance with Fannie Mae
- Vesting in a trust requires Trust Cert
- If using trust assets to qualify - Full trust documents are required, and borrower must be beneficiary of the trust
- Trust Agreement/Verification is allowed in lieu of full trust docs with third-party asset documentation/bank statements to verify the assets in the trust
-

5.10 SG CAPITAL EXPOSURE / FINANCED PROPERTIES

5.10.1 BORROWER / GUARANTOR EXPOSURE

SGCP Exposure to a Single Borrower or Guarantor

Limited to:

- $5,000,000 in unpaid principal balance (UPB), OR
- 10 Loans,

Whichever limit is reached first

5.10.2 PROJECT EXPOSURE LIMITS

SGCP's Maximum Exposure Within a Single Project
Limited to the lesser of:
- $5,000,000, or
- 20% of the total units in a project containing more than four units.

Whichever is lower

Concentration Limits In the Same Area
- Four (4) or more loans secured by properties within the same condominium complex, subdivision, PUD, or similar project will be reviewed on a case by case basis

5.10.3 MAXIMUM FINANCED PROPERTIES

- All programs are limited to a maximum of 20 financed properties.
- FLEX Connect loans must follow FNMA DU®/DO® or FHLMC LPA® guidelines.

Exclusions from Property Count
- Commercial properties and residential properties with more than four (4) units are excluded from the financed property calculation.

5.11 INELIGIBLE BORROWERS

- Administrative (GSE) Excluded Party lists
- Any parties to a transaction listed on HUD's Limited Denial of Participation (LDP) list, or the federal General Services
- Borrowers involved in active litigation or pending separation/divorce
- Borrowers with diplomatic immunity
- Foreign Nationals
- Irrevocable, Land or Blind Trusts
- Vesting in retirement vehicles

6 OCCUPANCY ELIGIBILITY

6.1 PRIMARY RESIDENCE

- A primary residence is a 1-4 unit property that the borrower(s) currently resides in (refinance) or intends to occupy (within 60 days) as their principal residence
- Generally, borrowers may not own an additional single-family residence of equal or greater value than subject property. Significant equity in a departing residence (≥ 50% subject loan amount) should be considered in overall credit analysis and cannot be paired with an exception.
- Borrowers with no investment properties retaining their departing residence as a rental require preapproval.
  - Loans with payoff risk may be assessed 12-month EPO and/or subject to lock price cap at the discretion of SGCP
- Characteristics that may indicate that a property is used as a borrower's primary residence include:
  - It is occupied by the borrower for the major portion of the year
  - It is in a location relatively convenient to the borrower's principal place of employment
  - Is the address of record for such activities as federal income tax reporting, voter registration, occupational licensing, and similar functions.
- Relocation in excess of 200 miles of self-employed borrowers with operating business is not permitted unless business is conducted out of the home

6.2 SECOND HOMES

<u>Program Restrictions:</u>
- Single unit only
- Gift funds ineligible
- A property is considered a second home when it meets all the following requirements:
  - Must be located a reasonable distance away from the borrower(s) principal residence
  - Must be occupied by the borrower(s) for some portion of the year
  - Single unit only
  - Must be suitable for year-round occupancy

  - The borrower(s) must have exclusive control over the property.
  - The unit may be rented only for up to 30 days per year

6.3 NON-OWNER OCCUPIED

<u>Program Restrictions:</u>

- Gift funds ineligible
- Rural properties ineligible
- A Commercial, Landlord or rental dwelling policy with rent loss coverage is required (6 months PITIA) unless income from the subject property is not being used to qualify
  - 6 months additional reserves beyond the program minimum is allowed in lieu of rent loss coverage
- Subject property short-term rental is permitted using long term annual rents to qualify. No STR income whatsoever is allowed i.e.: AirDNA, short-term 1007, short-term rental statements are all ineligible

7 ELIGIBILITY

7.1 PURCHASE

- The lesser of the purchase price or appraised value is used to calculate LTV/CLTV.
- A copy of the fully executed purchase contract and all attachments and addenda should be included
- Inspection reports are not required unless the appraisal suggests further investigation (e.g., termite reports)
- Sale and leaseback agreements will not be permitted to exceed 60 days from closing date.
- Flip Transactions – see 'Flip Transactions' section
- Assignment of contract with finder's fees reflected on the purchase contract are not eligible to be included in the sales price or LTV/CLTV

7.2 RATE-TERM REFINANCE

A Rate Term Refinance transaction is limited to the payoff of the following:

- An existing refinance first mortgage
- A purchase money first mortgage and, if applicable, a purchase money second mortgage
- A closed end mortgage or HELOC that:
  - Has been in place for more than 12 months, and
  - Has had no draws greater than $2,000 in the past 12 months
  - HELOC withdrawal activity must be documented with a transaction history
- Closing costs and prepaid items
- A court ordered buyout settlement
- Limited Cash to the borrower may not exceed the lesser of $2,000 or 2% of the loan amount.

Transactions Considered Cash Out

- Financing real estate taxes that are more than 365 days delinquent is considered a cash out refinance.
- Refinancing a previous loan that provided cash out, where the new Note date is less than 12 months from the previous Note date, will be treated as a cash out refinance.

LTV / CLTV

- The current appraised value may be used for LTV and CLTV calculations.

CEMA Transactions

- CEMAs are eligible in the state of New York in accordance with Fannie Mae guidelines.

Refinances to Buy Out an Owner's Interest

- A court ordered transaction requiring one owner to buy out another owner's interest, such as through divorce or dissolution of a domestic partnership, is considered a limited cash out refinance if the property was jointly owned for at least 12 months prior to the disbursement date of the new mortgage loan.
- All parties must sign a written agreement outlining:
  - The terms of the property transfer, and
  - The proposed disposition of refinance proceeds.
- Except in cases involving recent inheritance of the subject property, documentation must confirm that the property was jointly owned by all parties for at least 12 months prior to the new loan disbursement date.
- The borrower acquiring sole ownership may not receive any refinance proceeds.
- The party buying out the other owner's interest must independently qualify for the mortgage in accordance with SGCP underwriting guidelines.

7.3 CASH-OUT REFINANCE

- A Cash-Out Refinance transaction may pay off an existing mortgage(s) with a minimum of 6 months seasoning or create a new lien if the property is owned free and clear
- The borrower must have owned the property for a minimum of 6 months prior to the note date except for delayed financing transactions
- LTV based off the appraisal
- **Seasoning Definition**
  Seasoning is defined as the period from the borrower's existing mortgage closing date to the new Note date.
- **Transactions Considered Cash Out**
  - Financing real estate taxes that are more than 365 days delinquent is considered cash out
  - Refinancing out of a blanket loan is considered a cash out refinance.
- **Inheritance or Legal Award**
  - No waiting period is required if the borrower acquired the property through inheritance or was legally awarded the property due to divorce, separation, or dissolution of a domestic partnership.
  - If the borrower acquired the property at any time through inheritance, legal award, or other non purchase transaction:
    - LTV and CLTV will be based on the current appraised value.
    - The lender must obtain documentation verifying the acquisition and transfer of ownership.
- CEMA Transactions - CEMAs are eligible in the state of New York in accordance with Fannie Mae guidelines .
- Cash to the Borrower - The borrower may receive funds at closing, provided the amount does not exceed program limits.

Max Cash Out	>70% LTV/CLTV	≤70% LTV/CLTV
All Programs	$1MM	Unlimited

7.4 CONSTRUCTION TAKE OUT/CONSTRUCTION TO PERM

- The permanent financing of a construction loan is eligible with the following conditions:
  - If the lot was acquired 12 or more months before applying for the subject loan, the LTV/CLTV/HCLTV is based on the current appraised value of the property.
  - If the lot was acquired less than 12 months before applying for the construction financing, the LTV/CLTV/HCLTV is based on the lesser of (i) the current appraised value of the property and (ii) the total acquisition costs
- A builder refinancing out of a construction loan is limited to investment only, with a minimum 2-year pre-payment penalty
- Unsold builder inventory is ineligible
- Payoffs with accrued and unpaid interest > 59 days will be considered cash-out

7.5 PROPERTIES LISTED FOR SALE

- Primary, Second Homes, and Investment properties without a Prepayment Penalty:
  - Properties that have been listed for sale within the past 6 months from the loan Note date are not eligible
  - Properties listed for sale by the borrower within the last 12 months are not eligible for cash-out
- Investment properties with a Prepayment Penalty:
  - If the property was listed for sale by the borrower within the last 12 months
    - Rate term refinances are permitted, subject to matrix LTV limits.
    - Cash out refinances are permitted with a maximum 65% LTV/CLTV.
- LTV based on lower of the appraised value or lowest listing price in the last 12 months
- Properties listed for sale at application date are ineligible
- Online real-estate sites like Zillow, RedFin, Realtor.com, etc. should be reviewed to confirm listing activity and not solely rely on the appraiser
- This section applies to Prime, Plus, and Flex programs

7.6 DELAYED FINANCING

- Delayed financing transactions are qualified and priced as cash out refinances.
- **Eligibility Requirements:**
  - Delayed financing is permitted for properties purchased by the borrower with cash and owned for less than 6 months, provided the original transaction was arm's length.
  - The following documentation is required:
    - The purchase settlement statement confirming no financing was used to acquire the property
    - Documentation of the source of funds used for the purchase.
      - If gift funds were used, the borrower may only finance the amount of their own funds contributed to the transaction, excluding any gift funds.
- **LTV/CLTV Calculation:**
  - LTV and CLTV will be based on the lesser of the original purchase price or the current appraised value.
  - The prior settlement statement is required to verify the purchase price.
- **Appraisal Requirements:**
  - An AIR compliant purchase appraisal may be used for the refinance, provided it meets the applicable document age guidelines.
- Delayed Financing cash-out proceeds are acceptable with Asset Depletion

7.7 LEASE OPTIONS TO PURCHASE

- Primary residence only
- Borrowers may apply a portion of the rent paid to their required down payment, closing costs or minimum borrower contribution if the rent credits were agreed upon in the original Lease Purchase Agreement.
- Credit for the down payment is determined by using the lesser of the rent credits agreed to or by calculating the difference between the market rent and the actual rent paid for the last 12 months.
- The market rent is determined by the appraiser in the appraisal report for the subject property.
- **Documentation Requirements:**
  - A copy of the notarized rental/purchase agreement evidencing a minimum original term of at least twelve (12) months, clearly stating the monthly rental amount, and specifying the terms of the lease.
  - Copies of the Borrower's cancelled checks or money order receipts for the last 12 months, evidencing the rental payments
- The Closing Disclosure must show the actual purchase price as reflected in the Lease Purchase Agreement, while the loan-to-value will be based on the appraised value

7.8 CONTINUITY OF OBLIGATION

- **Rate-Term Refinance:**
  - At least one borrower on the new loan must be on title of the subject property at the time of initial application
- **Cash-out Refinance:**
  - At least one borrower must have been on title to the subject property for at least 6 months at the time of the note date except for delayed financing transactions
  - No waiting period if the borrower acquired the property through an inheritance or was legally awarded the property (award, divorce, separation, or dissolution of a domestic partnership)
- Continuity of Obligation is met when a borrower is at least 25% owner of an entity and is refinancing from a natural person to an entity or vice versa

7.9 SUBORDINATE FINANCING

- New subordinate financing (institutional) is allowed for primary residence purchase transactions only
  - ARM subordinate financing is not allowed
- Seller carried subordinate financing is ineligible
- Existing subordination is permitted on refinances
- All subordinate loans must be considered when calculating the Borrower's DTI
- For closed-end fixed rate, fully amortizing simultaneous loans, the qualifying payment is the monthly payment

- If a HELOC is present the CLTV/HCLTV must be calculated by dividing the sum of the original loan amount of the first mortgage, the amount of the HELOC (whether or not there have been any draws), and the unpaid principal balance of all other subordinate financing by the lower of the property's sales price or appraised value.
- If the subordinate financing is a HELOC secured by the subject property, monthly payments equal to the minimum payment required under the HELOC terms considering all draws made on or before closing of the subject transaction
- A HELOC with zero balance does not require a minimum payment be applied

7.10 FLIP TRANSACTIONS

- On a purchase transaction when the home is being resold within 180 days of seller's purchase date, the transaction is considered a flip (based on the day the borrower signs an initial purchase agreement)
- Flips with resale prices in excess of the following will require pre-approval, unless the seller acquired the property in a private sale not exposed to any multiple listing service:
    - More than 10% increase within 90 days
    - More than 20% increase from 91 to 180 days
- Current purchase transaction must be listed with a realtor on Multiple Listing Services
- Bank owned REO and corporate relocations are eligible and not considered a flip transaction
- Second Appraisal is required for HPMLs if:
    - >10% increase in sales price if seller acquired the property in the past 90 days
    - >20% increase in sales price if seller acquired the property in the past 91-180 days

7.11 1031 EXCHANGE

- Funds held by a 1031 administrator/agent are permitted for down payment and closing costs.
- Allowed on investment purchases only.
- Reverse 1031 exchanges not allowed.
- Must follow Internal Revenue Code Section 1031
- Excess proceeds cannot be used to satisfy reserve requirements unless liquidated
- Documented by accommodator instructions, fully executed exchange agreement at closing, and settlement statement.
- NOTE: 2-4-unit properties where one of the units is occupied by the customer are not considered investment properties and therefore are not eligible.

7.12 NON-ARM'S-LENGTH

- Non-arm's length transactions involve a direct relationship outside of the subject transaction between a borrower and a party to the loan. The appraiser must be informed of the relationship and address any impact on market value.
- The following non-arm's length transactions are eligible with proper documentation:
    - Sales or transfers between members of the same family (transaction may not be due to any adverse circumstances)
    - Renters purchasing from current landlord
    - Property seller acting as his or her own real estate agent
    - Borrower purchasing from his or her current landlord (cancelled checks or bank statements required to verify satisfactory pay history)
    - Realtor cannot buy own listing as well as seller cannot buy realtor's listing
    - Borrower is a mortgage broker or loan officer, or works for submitting broker
    - Borrower is related to realtor and/or loan officer who represents them ONLY
- Non-arm's length transactions are subject to all the following requirements:
    - Investment Properties ineligible
    - Relationship letter required between buyer and seller unless confirmed in the sales contract
    - Borrower to provide a copy of the cancelled earnest money check paid to the property seller (if applicable)
    - Underwriters must be satisfied with any occupancy red flags
    - Employee loans for any third-party originators are ineligible
    - All liens on title to be paid in full and reflected on the settlement statement
    - Lesser of sales price or current appraised value to be used to calculate the LTV/CLTV
    - Borrowers cannot provide services on transaction (closing agent, title agent, appraiser, etc.)
    - Borrower may not be an owner of a business entity selling the subject property

7.13 INELIGIBLE TRANSACTIONS

- Construction Loans
- Land Contracts
- Non-Arm's length (not addressed in previous section)
- Builder Bailout & Model leasebacks
- Conversion Loans
- Community down payment assistance / equity sharing
- Borrower/builder refinance of construction loans without subject loan prepayment penalty (Min 2 yrs)
- Refinance of unsold builder inventory
- Reverse 1031 exchanges
- Texas (a)(6) Transactions (Approval Required – Please contact SGCP)

8 COMPENSATING FACTORS

Including but not limited to the following:

- FICO score above minimum by 20 points or higher
- DTI below max by 5% or greater
- PITIA reserves above minimum by 6 months or higher
- Reduction in housing payment by 10% or greater
- Minimal payment shock
- Conservative use of non-housing debt
- **LTV is not a compensating factor for primary residence**
- 0 X 30 X 24-month housing history
- 5 years minimum in subject property
- Job stability of 5 years or more
- Stable ancillary income sources for borrowers not being used for qualifying
- Residual Income

9 CREDIT ELIGIBILITY

9.1 CREDIT EVENTS

Credit Event = Foreclosure, Short Sale, Deed in Lieu, Default Modification, Notice of Default, Single Bankruptcy, or 120+ Delinquent

	Seasoning
PRIME Connect	4 Years
PLUS Connect	2 Years
	1 year – additional LLPA applied
FLEX Connect	Refer to 'FLEX Connect' section for details

Definition of Credit Event:
A Credit Event includes any of the following:

- o Foreclosure
- o Short Sale
- o Deed in Lieu
- o Default Modification
- o Notice of Default
- o Single Bankruptcy
- o 120+ Day Delinquency

- **Occupancy Types:**
  Credit Events include all occupancy types, including Primary Residence, Second Home, and Investment Properties.
- **Seasoning Calculation:**
  Seasoning is measured from the date of discharge or property resolution, also referred to as the completion date, through the new Note date.
- **Loan Modifications:**
  Seasoning for a modification begins at the inception date of the modification.
- **Foreclosure Included in Bankruptcy:**
  A foreclosure included in a bankruptcy may be evaluated based on the bankruptcy discharge date, provided the borrower has vacated the property.
- **Timeshares:**
  Timeshares with delinquencies are treated as installment loans and are not considered a Credit Event.
- **Letter of Explanation (LOE):**
  An LOE is required for any Credit Event that occurred within the past 4 years.
- **Recent Events Less Than 4 Years:**
  Credit Events seasoned less than 4 years require the borrower to demonstrate 0x30 in the most recent 12 months, evidenced by no 30 day late payments during that period.

- **Ownership Consideration:**
  A Credit Event is considered if the property was owned by the borrower, even if the borrower was not on the note.
- **Multiple Credit Events:**
  - Multiple Credit Events within the 4 year lookback period are not permitted.
  - Multiple Credit Events seasoned greater than 4 years are eligible, but are unlikely to be approved with an exception.
- **Multiple Bankruptcies:**
  Multiple bankruptcies are ineligible, regardless of seasoning.
- **Title Only Ownership:**
  A borrower who holds title only to a property that experienced a Credit Event is considered to have a Credit Event and is subject to these guidelines.

9.2 BANKRUPTCY

	Bankruptcy Seasoning
PRIME Connect	4 Years
PLUS Connect	2 Years
	1 year – additional LLPA applied

- Single bankruptcy including Chapter 7, 11, and 13 based on discharge or dismissal date
- BK must have been dismissed or discharged prior to application
- Multiple BK filings, regardless of when they occurred, are not eligible (an amended filing is not considered multiple filings)
- FLEX Connect – Refer to 'FLEX Connect' section for details
- LOE required for any recent credit event less than 4 years.

9.3 HOUSING HISTORY

PRIME Connect	0 x 30 x 12 or 1 x 30 x 12 – Additional LLPA applied
PLUS Connect	0 x 60 x 12

- **Recent Credit Event:**
  If the borrower has a Credit Event seasoned for less than 4 years, they must demonstrate 0x30x12, evidenced by no 30-day late payments in the most recent 12 months.
- **Borrower Requirement:**
  Only one borrower is required to meet the housing history requirement.
  All borrowers must be current on their mortgage or rent at the time of loan application.
- **Standard Housing History Requirement**
  Housing history requirements are considered met if:
  - The initial credit report shows an open and active mortgage with at least 12 months of payment history.
  - All refinance transactions require payment history documentation for the subject property.
- **Tax Liens and HOA Dues**
  Property tax liens and delinquent HOA dues identified at application require pre-approval.
- **Rental Property & Other Real Estate Owned (REO)**
  - Mortgage ratings are required for rental properties when rental income is used for qualification.
  - VOMs for other REO properties are not required if the mortgage does not appear on the credit report.
  - Private VOMs are not required unless the property income is being used to qualify.

  Important:
  Even when documentation is not required, housing delinquencies that appear on the credit report cannot be ignored and must comply with the 12-month payment history requirement noted above.
- **When No Mortgage is Reporting on Credit**
  If no open and active mortgage appears on the initial credit report, pre-approval is required, unless one of the following exceptions applies:
  - **Free and Clear Ownership**
    - Borrower owns a property free and clear, and
    - Provides documentation showing property taxes are current.
  - **Recently Closed Mortgage**
    - Credit report shows at least 12 months of prior mortgage history, with activity within the last 12 months.
  - **Private Mortgage Verification**
    - A **private VOM** plus **12 months of payment evidence**, such as:
      - Bank statements

        - Cancelled checks
        - Bank debits
- **Rent-Free Living Situations**
    - Borrower lives rent-free with a spouse, or
    - Has title-only ownership, and provides:
        - Institutional VOM, or
        - 12 months of bank statements, cancelled checks, or bank debits.
    - Borrowers Temporarily Living Rent -Free
      A borrower who recently sold a home and is temporarily living rent-free while purchasing a new home is not considered to have incomplete housing history, provided:
        - The most recent 12-month mortgage history from the sold property is documented.
- **Alternative Housing Payment Documentation**
    - 12 months of payment history documented by:
        - Cancelled checks
        - Bank debits (highlighted on statements)
        - Institutional VOR/VOM
    - Carbon copies or handwritten rent receipts are not acceptable.
- **Credit Supplements**
    - Institutional credit supplements are acceptable.
    - Private landlords or lien holders are not eligible sources.
- **Private VOR Exception**
    - A private VOR may be accepted with a minimum 720 FICO score .
- **FLEX Connect** – Refer to 'FLEX Connect' section for details

9.4 FORBEARANCE OR DEFERRAL

- Borrowers with a natural disaster or non-financial hardship related forbearance or deferral on primary or subject property, must have completed the program and made at least two months payments for a Purchase or Rate-Term Refinance and 6 months payments for a Cash-out Refinance. Documentation from the servicer, credit bureau or other documentation of the completion is required.
- The deferred balance may be paid off with the subject property refinance. Primary home in forbearance is ineligible even if subject property is non-owner occupied. Other Real Estate owned limited to 1 property in forbearance is eligible.

9.5 BALLOON PAYMENT PAST DUE

- A past due balloon payment is treated as a delinquency (1 x 30) and not a housing event, but only within 180 days of maturity.
- Transaction histories showing payments made and applied on time are considered to have been extended and not considered delinquent

9.6 DEFAULTED TIME SHARES

- Timeshares including delinquencies are treated as installment loans and not a housing event.

9.7 CREDIT REPORT DETAIL

- A tri-merged in file credit report including scores from Experian, Transunion and Equifax is required. A minimum of two scores must be reported
- Credit Report is good for 120 days from the note date
- Disputed accounts may require an LOE. An updated credit report not required
- All mortgage accounts > 1 x 30, each within 2 years of closing require a full explanation
- Delinquent credit belonging to ex-spouse can be excluded if late payments occurred after the divorce/separation, and divorce decree/separation agreement indicates derogatory accounts belong solely to the ex-spouse

9.7.1 CREDIT REPAIR/RESCORE

- No private credit repair companies allowed.
- Rapid rescore of credit permitted for confirmation of pay down and/or payoff of debt and correction of reporting errors
- Updated credit score permitted for qualifying

9.7.2 SECURITY FREEZE

- A credit freeze may remain if it is reported under one bureau only and a minimum of two scores are present. More than one frozen bureau requires the freeze to be lifted by the borrower and a new report provided.

9.7.3 CREDIT COUNSELING

- Borrowers currently enrolled in credit counseling or debt management plans are not permitted

9.7.4 TRADELINES

- **Three Credit Scores:**
  If the qualifying borrower has three credit scores, the minimum tradeline requirement is waived for all borrowers.
- **Minimum Tradelines:**
  - Each borrower must have at least 2 tradelines, or
  - Joint borrowers must have a combined total of at least 3 tradelines.
  - Tradelines must be rated for a minimum of 12 months and show activity within the last 24 months.
- **Open or Closed Accounts:**
  Tradelines may be either open or closed.
- **Derogatory History:**
  Eligible tradelines must not have any derogatory history within the previous 24 months.
- **Current Housing Not Reporting on Credit:**
  Current housing that is not reporting on the credit report may be considered an open tradeline if supported by bank records, such as cancelled checks or bank debits.
- **Authorized User Accounts:**
  Authorized user accounts may not be used to meet the minimum tradeline requirement.
- **Non Traditional Credit:**
  Non traditional credit is not permitted as an eligible tradeline.
- FLEX Connect – Per AUS

9.7.5 CREDIT SCORES

Qualifying Score (Eligibility and Pricing)	
Full Doc Express Doc Asset Depletion	Primary income earner
Bank Statement	Primary income earner Borrowers with 50/50 split ownership of the business – highest mid FICO score
FLEX Connect	Primary income earner – refer to 'FLEX Connect' section for details

- **Individual Borrower Score:**
  Each borrower's credit score is defined as:
  - The middle score when three scores are reported, or
  - The lower score when only two scores are reported.
- **Minimum Score Requirement:**
  PRIME Connect / PRIME FLEX Connect - No borrower may have a middle FICO score below 660.
  PLUS Connect / PLUS FLEX Connect - No borrower may have a middle FICO score below 620
- **Refinances:**
  For refinance transactions, the highest middle FICO score may only be used if that borrower meets the continuity of obligation requirement.

9.7.6 JUDGEMENTS, LIENS, CHARGE-OFFS, COLLECTIONS

- All Judgments affecting title or liens affecting title must be paid
- Non-title charge-offs and collections open <2 years and greater than $15,000 (individually or aggregate) must be paid
- Medical collections less than $50,000 are not required to be paid
- IRS tax payment plans approved by the IRS are permitted if current and do not carry a lien on any property

10 INCOME DOCUMENTATION

10.1 FULL DOCUMENTATION – TWO YEARS VERIFICATION OF INCOME

10.1.1 WAGE EARNER

Document Requirements:

- Wage Earner: Most recent YTD paystub (YTD must cover minimum of 30 days) or Electronic VOE (i.e., The Work Number) is acceptable
- Two years W2's
  - Wage transcripts in lieu of providing W-2 are eligible.
  - Sellers must provide 4506-C, 8821, or equivalent form
- Written VOE if needed for the analysis of overtime, bonus or commission.
- IRS 1040s are not required unless also using other sources of income to qualify i.e., interest dividends, capital gains, etc.

10.1.2 1099 BORROWERS

Borrower(s) earning 100% commission, independent contractors, or laborers from one or several companies

- **Self-Employment History Requirements**
  Income from self-employment may be considered stable and effective when the borrower meets the following history requirements:
  - 2 or more years of self-employment:
    Income is considered stable and acceptable.
  - Less than 2 years of self-employment:
    May be considered if the borrower provides documentation showing at least 2 years of prior employment in the same or a related line of work.
  - Less than 1 year of self-employment:
    Not considered effective income and is not eligible.
- **Acceptable Documentation**
  - 1 or 2 years of 1099 forms are permitted.
  - Qualifying income is calculated using either a:
    - 12-month average, or
    - 24-month average of the 1099 income.
  - Borrowers who receive income from multiple 1099 sources may still qualify under the 1099 income program.
- **Business Expense Calculation**
  A standardized expense factor is applied when calculating qualifying income.
  - **10% Expense Factor**
    - Qualifying income is calculated as 90% of gross 1099 earnings.

  Additional requirements:
  - The expense ratio must be reasonable for the borrower's profession.
  - This documentation type is intended only for borrowers with minimal business expenses, such as those with:
    - No office space
    - No employees
    - No cost of goods sold
  - **Ineligible Occupations**
    - Rideshare drivers (Uber, Lyft, or similar services) are not eligible for the 1099 income program.
- **Year-to-Date (YTD) Income Verification**
  Borrowers must provide documentation supporting the ongoing receipt of income reported on the 1099s if 90 days or more have passed since the most recent 1099.
  Acceptable YTD documentation includes:
    - Check stubs or checks showing YTD totals, or
    - Three months of bank statements, or
    - YTD earnings statements issued by the 1099 business
- **YTD Income Validation**
  - Deposits used to document YTD income must equal at least 80% of the qualifying income.
  - Seasonal income may still be considered if appropriate compensating factors are documented.

- **Income Trending**
  - YTD income may be averaged with validated 1099 income.
  - Maximum allowable increase is 50% when comparing YTD earnings to prior 1099 income.
- **Tax Transcript Authorization**

  Sellers must provide one of the following:
  - IRS Form 4506-C
  - IRS Form 8821
  - Equivalent authorization form

10.1.3 SELF-EMPLOYED BORROWERS

- **Minimum Self-Employment History**

  Self-employment income may be considered stable and effective when the borrower meets the following requirements:
  - Two or more years of self-employment

    Income is considered stable and acceptable.
  - Less than two years of self-employment

    May be considered if the borrower can document at least two years of prior employment in the same line of work or a related profession.
  - Less than one year of self-employment

    Not considered effective income and is not eligible.
- **Ownership Verification**

  The borrower's ownership percentage must be documented using one of the following:
  - A licensed tax preparer letter
  - Operating Agreement
  - Or equivalent documentation

  Additional Requirements:
    - The CPA or tax preparer must be an independent third party with no relationship to the borrower.
    - Letters cannot contain qualifying or conditional language.
    - See Exhibit 1: SGCP Attestation Form for an example format (use of this form is not required).

  PTIN Limitation
    - Tax preparer letters prepared by PTIN holders are not eligible for program use, except when documenting ownership percentage only.
    - The letter must include an attestation describing the documentation reviewed to verify the ownership percentage.
- **Required Documentation**

  The following documentation is required:
  - Two years of personal tax returns
  - Two years of business tax returns
  - All schedules and K-1 forms

  Additionally:
  - Sellers must provide IRS Form 4506-T, Form 8821, or an equivalent authorization form.
- **Profit & Loss (P&L) Requirements**

  A Year-to-Date (YTD) P&L is required when:
  - The loan application date is more than 120 days after the end of the most recent business tax year.

  Gap-Year P&L

  If there is a gap between the end date of the most recent tax return and the start date of the YTD P&L, a gap-year P&L must also be provided.

  Important notes:
  - Qualifying income is determined from the tax returns.
  - The P&L is used to evaluate the stability of the income.

  Supporting Documentation
  - Bank statements for the two most recent months must show deposits consistent with
      - The sales reflected on the P&L, and
      - The qualifying income reported on prior years' tax returns.
- **Transition from W-2 to 1099**

  Same Employer
  - Borrowers who transitioned from W-2 employment to 1099 status with the same employer and in the same role may be eligible without two years of 1099 history if:

        - The employer provides documentation confirming the borrower is not responsible for additional business expenses, such as a contract agreement.

  Different Employer
    - Borrowers who changed from W-2 to 1099 with a different company in the same industry must have at least one year in the current position.
- **Net Operating Losses (NOL)**
    - Net operating losses may be excluded when properly documented on the business tax returns
- **Business Structure Changes**
  A company name change or business reorganization is considered continuous self-employment if:
    - The change occurred within the past two years, or
    - The change represents a restructuring of the same business, such as:
        - Sole Proprietorship → LLC
        - LLC → S-Corporation
        - Other similar entity conversions.
- **Self-Employed Borrowers Paid by W-2 or K-1**
  Self-employed borrowers with 25% or greater ownership may receive income through W-2 wages or K-1 distributions. However
    - Income should not be qualified using W-2 wages or K-1 distributions alone, unless otherwise permitted by program guidelines.
    - Instead, the business entity's net income should be analyzed, and
    - The borrower's qualifying income should be calculated by multiplying the net business income by the borrower's ownership percentage
- **Declining Self-Employment Income**
  Self-employment income that has declined over the most recent two years may still be considered if
    - The borrower provides a signed Letter of Explanation (LOE)

  In these cases:
    - The lower of the two years of income must be used for qualification, unless
    - Income has stabilized during the most recent six months.

10.2 EXPRESS DOC- ONE YEAR VERIFICATION OF INCOME

10.2.1 WAGE EARNERS

Document Requirements:

- Wage Earner: Most recent YTD paystub (YTD must cover minimum of 30 days) or Electronic VOE (i.e. The Work Number) is acceptable
    - Written VOE if needed for the analysis of overtime, bonus or commission
    - Tax transcripts in lieu of providing W-2 are eligible
    - Sellers must provide 4506-C, 8821, or an equivalent form
- Borrower must have a minimum of two years employment, with one year of income documented
- IRS 1040s are not required unless also using other sources of income to qualify i.e., interest dividends, capital gains, etc.

10.2.2 1099 BORROWERS

- **Minimum Self-Employment History**
  Self-employment income may be considered stable and effective when the borrower meets the following history requirements:
    - Two or more years of self-employment
      Income is considered stable and acceptable.
    - Less than two years of self-employment
      May be considered if the borrower provides documentation showing at least two years of prior employment in the same line of work or a related profession.
    - Less than one year of self-employment
      Not considered effective income and is not eligible.
- **1099 Documentation Requirements**
    - One year 1099 form
    - Borrowers paid by multiple companies issuing 1099s may qualify under the 1099 income program.
    - Qualifying income is calculated using 12-month average of the 1099 earnings

- **Business Expense Calculation**
  A standardized expense factor is applied when calculating qualifying income.
  - 10% Expense Factor
    - Qualifying income is calculated as 90% of gross 1099 earnings.

  Additional requirements:
  - The expense ratio must be reasonable for the borrower's profession.
  - This documentation type is intended only for borrowers with minimal business expenses, such as those with:
    - No office space
    - No employees
    - No cost of goods sold
  - Ineligible Occupations
    - Rideshare drivers (Uber, Lyft, or similar services) are not eligible for the 1099 income program.
- **Year-to-Date (YTD) Income Verification**
  Borrowers must provide documentation supporting the ongoing receipt of income reported on the 1099s if 90 days or more have passed since the most recent 1099.
  Acceptable YTD documentation includes:
  - Check stubs or checks showing YTD totals, or
  - Three months of bank statements, or
  - YTD earnings statements issued by the 1099 business
- **YTD Income Validation**
  - Deposits used to document YTD income must equal at least 80% of the qualifying income.
  - Seasonal income may still be considered if appropriate compensating factors are documented.
- **Income Trending**
  - YTD income may be averaged with validated 1099 income.
  - Maximum allowable increase is 50% when comparing YTD earnings to prior 1099 income.
- **Tax Transcript Authorization**
  Sellers must provide one of the following:
  - IRS Form 4506-C
  - IRS Form 8821
  - Equivalent authorization form

10.2.3 SELF-EMPLOYED BORROWERS

- A borrower is considered self-employed when their ownership interest in a business is 25% or greater.
- Loans are eligible when one or more borrowers have a combined ownership interest of 25% or greater in the business generating the income.
- **Minimum Self-Employment History**
  Self-employment income may be considered stable and effective when the borrower meets the following requirements:
  - Two or more years of self-employment
    Income is considered stable and acceptable.
  - Less than two years of self-employment
    May be considered if the borrower can document at least two years of prior employment in the same line of work or a related profession.
  - Less than one year of self-employment
    Not considered effective income and is not eligible.
- **Ownership Verification**
  The borrower's ownership percentage must be documented using one of the following:
  - A licensed tax preparer letter
  - Operating Agreement
  - Or equivalent documentation

  Additional Requirements:
  - The CPA or tax preparer must be an independent third party with no relationship to the borrower.
  - Letters cannot contain qualifying or conditional language.
  - See Exhibit 1: SGCP Attestation Form for an example format (use of this form is not required).

PTIN Limitation

- Tax preparer letters prepared by PTIN holders are not eligible for program use, except when documenting ownership percentage only.
- The letter must include an attestation describing the documentation reviewed to verify the ownership percentage.

- **Required Documentation**
  The following documentation is required:
  - One year of personal tax returns
  - One year of business tax returns
  - All schedules and K-1 forms

  Additionally:
  - Sellers must provide IRS Form 4506-T, Form 8821, or an equivalent authorization form.
- **Profit & Loss (P&L) Requirements**
  A Year-to-Date (YTD) P&L is required when:
  - The loan application date is more than 120 days after the end of the most recent business tax year.

  Gap-Year P&L
  If there is a gap between the end date of the most recent tax return and the start date of the YTD P&L, a gap-year P&L must also be provided.
  Important notes:
  - Qualifying income is determined from the tax returns.
  - The P&L is used to evaluate the stability of the income.

  Supporting Documentation
  - Bank statements for the two most recent months must show deposits consistent with
    - The sales reflected on the P&L, and
    - The qualifying income reported on prior years' tax returns.
- **Transition from W-2 to 1099**
  Same Employer
  - Borrowers who transitioned from W-2 employment to 1099 status with the same employer and in the same role may be eligible without two years of 1099 history if:
    - The employer provides documentation confirming the borrower is not responsible for additional business expenses, such as a contract agreement.

  Different Employer
  - Borrowers who changed from W-2 to 1099 with a different company in the same industry must have at least one year in the current position.
- **Net Operating Losses (NOL)**
  - Net operating losses may be excluded when properly documented on the business tax returns
- **Business Structure Changes**
  A company name change or business reorganization is considered continuous self-employment if:
  - The change occurred within the past two years, or
  - The change represents a restructuring of the same business, such as:
    - Sole Proprietorship → LLC
    - LLC → S-Corporation
    - Other similar entity conversions.
- **Self-Employed Borrowers Paid by W-2 or K-1**
  Self-employed borrowers with 25% or greater ownership may receive income through W-2 wages or K-1 distributions.
  However
  - Income should not be qualified using W-2 wages or K-1 distributions alone, unless otherwise permitted by program guidelines.
  - Instead, the business entity's net income should be analyzed, and
  - The borrower's qualifying income should be calculated by multiplying the net business income by the borrower's ownership percentage

10.3 FLEX CONNECT – DU®/DO®/LPA® AUTOMATED UNDERWRITE

SGCP FLEX program will utilize Fannie Mae Desktop Underwriter® (DU) & Desktop Originator® (DO) or Freddie Mac Loan Product Advisor® (LPA) with the added guideline allowance of PRIME Connect and PLUS Connect benefits for ease of process. **The loan will be underwritten to the FLEX program matrix, the DU®/DO®/LPA® ("AUS") Findings and the overlays noted below. Any items not addressed in this section will default to the FNMA or FHLMC Selling Guides.** This is a Non-QM program.

Refer to SGCP PRIME Connect and PLUS Connect Matrix for FLEX Connect LTV/CLTV, occupancy and transaction type allowances. UW attestation clearly stating whether the loan is Flex or Not-Flex must be delivered with the file (A comment on the 1008 suffices)

Underwriting Process	▪ FNMA DU®/DO® or FHLMC LPA® is required ○ **References to "AUS" throughout this document collectively refer to FNMA DU®/DO® or FHLMC LPA® Findings** ▪ For underwriting guidelines not addressed below, please reference the Fannie Mae or Freddie Mac Seller Guide for details.
AUS Requirements	▪ Approve/Eligible, LPA® Accept ▪ Approve/Ineligible, LPA® Caution (due to loan amount, loan structure, Interest Only, property (non-warrantable condo) and credit event. ○ Refer to 'Credit Event' section for details ▪ Note: Refer or Caution findings will not be eligible for delivery to SGCP, however may be eligible under SGCP PRIME Connect or PLUS Connect Program as a manual underwrite.
Products	5/6 ARM, 5/6 ARM I/O, 7/6 ARM, 7/6 ARM I/O, 30Yr Fixed, 30Yr Fixed I/O, 40Yr Fixed I/O and 40Yr I/O ARM *40Yr fully amortizing ineligible*
Qualification	<u>5/6 ARM</u> – qualify at the greater of the note rate + 2% or the fully indexed rate. <u>7/6 ARM</u> – qualify at the greater of the note rate or the fully indexed rate. <u>Interest-Only</u> – qualify at the note rate based on fully amortizing Principal and Interest payment during the principal repayment period. ▪ Interest-Only payment cannot be used to qualify. ▪ Qualify based on a term that equals the amortization term (i.e., 360 months for 40 year I/O).
Max CLTVs	80% Max CLTV per product matrices applies Refer to 'Max LTV' section for additional CLTV caps
Minimum Loan Amount	$125,000
Max Loan Amount	$2,500,000
DTI	Per AUS (max 50%)
Min Borrower FICO	Minimum FICO per Matrix Qualifying FICO – Primary income earners FICO used for eligibility (Must align with matrix) VantageScore ineligible
Reserves	Per AUS Cash out may be used as reserves
Assets	Per AUS
Borrower Eligibility	Foreign Nationals are not allowed Refer to 'Non-Permanent Resident' section
Min Borrower Contribution	Per FNMA/FHLMC Selling Guide Owner or Second home, no minimum borrower contribution required. May be all gift. Investment properties: no gifts allowed. Must be all borrower's own funds.
Max Cash-Out	Please refer to max cash-out for PRIME Connect and PLUS Connect Per FNMA/FHLMC Selling Guide – R/T refinance max cash back is the lesser of 2% of the loan balance or $2,000. Per FNMA/FHLMC Selling Guide – Cash out can be used as reserves.
Cash-Out Seasoning	May pay off an existing mortgage(s) with a minimum of 6 months seasoning prior to the Note Date or used to create a new lien if the property is owned free and clear
Continuity of Obligation	Follow FNMA/FHLMC Selling Guide – Borrower must be on title at time of application
Income Documentation	▪ Follow AUS findings with minimum 1-year verification of income ▪ If the tax return year is dated more than 90 days prior to the note date, a YTD P&L dated within 90 days of note date, along with the two most recent months of bank statements. ▪ Electronic VOE (i.e., The Work Number) is acceptable. Vendor must be an approved Day 1 Certainty vendor. ▪ SGCP Bank Statement product is eligible with FLEX features (refer to bank statement/CPA P&L guidelines)

<table>
<tr><td></td><td>Use of Laminr tool is eligible. Please refer to 'AI Bank Statement Income Calculation Services' section for details</td></tr>
<tr><td>Asset Depletion</td><td>Follow 'Asset Depletion' section</td></tr>
<tr><td>Rental Income</td><td>Follow 'Rental Income' section
Borrowers with no investment properties retaining their departing residence as a rental require preapproval. Loans with payoff risk may be assessed 12-month EPO and/or subject to lock price cap at the discretion of SGCP</td></tr>
<tr><td>Escrow Holdbacks</td><td>Ineligible</td></tr>
<tr><td rowspan="2">Credit Events</td><td>
<table>
<tr><td></td><td>Short Sale, Foreclosure, Single Bankruptcy, 120+</td></tr>
<tr><td>PRIME Connect</td><td>4 Years</td></tr>
<tr><td>PLUS Connect</td><td>2 Years</td></tr>
</table>
Multiple Bankruptcies, regardless of seasoning, are ineligible
</td></tr>
<tr><td>For loan casefiles with credit events outside of FNMA allowances, "Extenuating Circumstance (EC)" override in DU®/DO®/ LPA® may be used. The loan must still fall within PRIME Connect or PLUS Connect requirements for seasoning.
The stricter FNMA Extenuating Circumstance seasoning guidelines must be met:
FNMA foreclosure seasoning is 3 years (i.e., a borrower with a foreclosure <3years will be required to qualify on the SGCP PLUS Connect Program)
FNMA EC guidelines for foreclosure do not allow the following transactions:
2nd Home and NOO Purchases
Cash Out
Note: These would be eligible under the SGCP PRIME Connect and PLUS Connect Programs
Documentation requirements:
LOE confirming nature of the event(s) that led to the bankruptcy or foreclosure-related action required.
Note: SGCP will adhere to the reduced waiting period, we will obtain an LOE describing the credit event, and the borrower will not be required to submit any documentation (i.e. death certificates, job termination notices, medical records…)
</td></tr>
<tr><td>Transaction</td><td>Refer to 'Ineligible Transactions' section for full detail on ineligible transactions
Refer to 'Interested Party Contributions' section for details on IPCs</td></tr>
<tr><td>Tradelines</td><td>AUS findings</td></tr>
<tr><td>Housing History</td><td>
<table>
<tr><th>Program</th><th>12 Month Housing History</th></tr>
<tr><td>PRIME Connect</td><td>1x30x12 (per AUS) (no rolling)</td></tr>
<tr><td>PLUS Connect</td><td>0x60x12</td></tr>
<tr><td>FLEX Connect</td><td>WVOM/WVOR waived, unless required by AUS</td></tr>
</table>
</td></tr>
<tr><td>Age of Documentation</td><td>120 days</td></tr>
<tr><td>Subordinate Financing</td><td>Per AUS - Max CLTV per product matrix applies</td></tr>
<tr><td>Properties Listed for Sale</td><td>Refer to 'Properties Listed For Sale' section for full detail</td></tr>
<tr><td>Property Eligibility</td><td>Single Family Residence (attached and detached)
PUDs (attached and detached)
2-4 Units
Fannie Mae warrantable condominiums
Non-Warrantable Condos Eligible with an LLPA
Max 20 acres – Per SGCP UW Manual
Rural Properties are eligible per SGCP UW manual
Live/Work Condo – Per FNMA/FHLMC Selling Guide
Refer to 'Property Types' section for full list of ineligible properties</td></tr>
<tr><td>Vesting in LLC/Corp/Individual trust</td><td>Eligible
Refer to SGCP guidelines for details</td></tr>
</table>

<table>
<tr><td>Max Financed Properties</td><td>Follow FNMA/FHLMC Selling Guide
Principal residence – No Limit
Second Home/Investment – Max 10
For borrowers with 7-10 financed properties, the minimum FICO requirement is 720
Four (4) or more loans in the same condo complex, sub-division, PUD, or the like will be considered on a case-by-case basis</td></tr>
<tr><td>Appraisal</td><td><table><tr><td>PRIME Connect</td><td>Loan amount ≥ $2,000,000 and >65% LTV/CLTV – 2 full appraisals</td></tr><tr><td>PLUS Connect</td><td>Loan amount ≥ $2,000,000 and >65% LTV/CLTV – 2 full appraisals</td></tr></table>All appraisals require a third-party desk review
• For CU/LCA scores <= 2.5 – no additional review is required
When two appraisals are required, an additional desk review product is not required.
FNMA PIW and FHLMC ACE waivers are not permitted
Transferred appraisals are permitted.
Hybrid Appraisals permitted. See PRIME Connect and PLUS Connect requirements.
Refer to ‘Appraisal’ and ‘Review Appraisals’ sections for complete guidance</td></tr>
<tr><td>FNMA/FHLMC Program Restrictions</td><td>Fannie Mae and Freddie Mac specific program and eligibility are not allowed, including but not limited to: Student Loan Refinance, HomeStyle, HARP, DU®/DO® Refi Plus, and Home Ready</td></tr>
<tr><td>Pre-Payment Penalty</td><td>Standard Prepayment Penalty Term – Minimum 1 year for all NOO (see rate sheet for details).</td></tr>
<tr><td>Delayed Financing</td><td>Allowed to 6 months and treated as a cash-out. Follow ‘Delayed Financing’ section.</td></tr>
</table>

10.4 BANK STATEMENTS

The Bank Statement Program is designed for active, U.S.-based operating businesses.
The following sources of income are not eligible for qualification using bank statements:

- Passive income from crowdfunding
- Real estate investors with fewer than 5 residential units
- Venture capital income
- Asset speculation or trading
- Day trading or similar activities

  Note:
  Real estate investors with fewer than 5 residential units may qualify under Full Documentation programs using lease agreements and proof of rent received.

Additional eligibility guidelines:

- Bank statements from third-party asset vendors participating in the Fannie Mae Day 1 Certainty® process are acceptable.
- IOLTA accounts or similar trust-holding accounts are not eligible.
- FinTech statements are eligible
- Tax preparer letters prepared by PTIN holders are ineligible for all programs, except when used solely to document ownership percentage.
  - The letter must include an attestation explaining what documentation was reviewed to verify ownership percentage.

- **Document Requirements**
  Borrowers must provide the following:
  12 or 24 months of personal or business bank statements from a regulated U.S. financial institution
  Additional requirements:
  - Statements must be the most recent available at the time of application and no more than 45 days prior to application.
  - Transaction history printouts are generally not acceptable.
  - Multiple bank accounts may be used.
  - Borrowers using more than 5 separate business accounts must qualify using personal bank statements.
  - The most recent 3 months of deposits should not represent the majority of annual income.

- **Business Narrative Requirement**
  The borrower must provide a **written business narrative** describing the nature and operations of the business.

The narrative must include:
- Business description / profile
- Business locations
- Number of employees or contractors
- Description of goods or services
- Equipment, trucks, materials, or other operational assets
- Description of the commercial or retail client base

- **Business Verification**
  An **internet search of the business must be completed** to support the business narrative.
  - If no results are found, the underwriter must document certification or notation on the 1008 confirming the search was performed.

- **Documentation Analysis**
  Large Deposits
  - Deposits exceeding 50% of the average monthly deposits may require:
    - A Letter of Explanation (LOE), or
    - Documentation confirming the deposit is business-related income.
- **Declining Income**
  - Declining income trends may require a Letter of Explanation.
- **NSF / Overdraft Activity**
  - NSF or overdraft activity must generally be **covered by deposits shortly after occurrence**.

  Limits:
  - No more than 10 NSFs within the most recent 12 months
  - Any NSF activity requires 0x24x12 housing history

- **Business Eligibility Requirements**
  Borrowers must demonstrate the **business has been operating for at least 2 years**, verified through one of the following:
  - Business License
  - Letter from Tax Professional
  - Secretary of State filing
  - Equivalent documentation

  Less than Two Years Self-Employment
  - Less than two years may be considered if the borrower provides:
    - At least two years of prior employment in the same or related industry

  Less than one year of self-employment is not eligible.

- **Ownership Requirements**
  Borrower ownership must be documented and meet the following thresholds:
  - **Business bank statements:** minimum **25% ownership**
  - **Personal bank statements:** minimum **20% ownership**

  Ownership must be verified using:
  - Licensed tax preparer letter (no qualifying language)
  - Operating Agreement
  - Equivalent documentation

  Refer to **Exhibit 1: SGCP Attestation Form** (use optional).
  Additional rules:
  - **Company name changes or reorganizations within the last 2 years are considered continuous**, including:
    - Sole Proprietorship → LLC
    - LLC → S-Corp
    - Similar entity restructures

  Changes in ownership percentage must be seasoned at least 12 months.

10.4.1 PERSONAL BANK STATEMENTS

Option 1 – Personal Statements with Business Bank Account

Requirements:
- 100% of business deposits in a personal account may be used.
- Provide most recent 2 months of business bank statements to verify:
  - Deposits originate from the borrower's business account
  - Transfers from the business

    - Payroll or distributions from the business

Minimum ownership requirement:

- **20% ownership**

- **Option 2 – Personal Statements with No Business Bank Account**
  When business and personal funds are **commingled** and **no business account exists**:
  - Statements are analyzed as **business bank statements**.
  - Appropriate **expense factors must be applied**:
    - **20% for service businesses**
    - **50% for non-service businesses**

    Additional requirements:
  - Only **self-employment related deposits** are included in the income calculation.
  - Repeated expenses not reflected on the credit report may require:
    - Additional explanation, and
    - May be treated as a **liability**.

- **Personal Bank Statement Qualifying Income**
  - Qualifying income is calculated as:
  - **Total eligible deposits ÷ 12 or 24 months**

10.4.2 BUSINESS BANK STATEMENTS

Additional requirements apply when qualifying with business bank statements.

Transfer Deposits
Transfers into the business account must have clear evidence that the source is business income.

Multiple Bank Accounts
Borrowers using more than 5 separate business accounts must qualify using personal bank statements.

Business Debt
Customary business debt may be excluded from DTI if:

- 6 months of payments from business bank statements are documented

Examples:

- Business auto loans
- Business credit cards

However:

- Mortgage debt cannot be excluded from DTI even if paid by the business

Ineligible Businesses

- Nonprofit entities are not eligible.

Qualification Methods
Borrowers must qualify using one of the following two options.
The expense ratio must be reasonable for the profession.

Examples:

- **Lower expense ratio:** home-based consultants
- **Higher expense ratio:** retail businesses with inventory, staff, or vehicles

SGCP reserves the right to require additional documentation, including:

- Form **1040**
- Form **1120**
- Form **1065**

Businesses with significant pass-through revenue may be ineligible, including:

- Check-cashing retail services
- Investment firms receiving outside capital

<table>
<tr><th colspan="3">OPTION 1
Fixed Expense Ratio</th></tr>
<tr><th colspan="3">All businesses may qualify using a fixed expense factor.</th></tr>
<tr><th>50% Expense Factor</th><th>30% Expense Factor</th><th>20% Expense Factor</th></tr>
<tr><td>Default option for all businesses</td><td>Eligible only when all of the following apply:
• Small service business (examples: consulting, accounting, legal, therapy, financial planning, insurance)
• No more than 5 employees
• Small office allowed if rent ≤ 15% of gross income
Ineligible businesses:
• Retail
• Wholesale
• Non-office service businesses (landscaping, contractors, etc.)</td><td>Eligible only if all conditions below are met:
• Borrower is sole owner and operator
• No partners or employees
Exception:
• If co-borrowers own the business 50/50 and both are on the loan, the 20% factor may be used
Additional requirements:
• Service business only
• No cost of goods
• No heavy equipment or machinery
• No office space requiring rent</td></tr>
</table>

<table>
<tr><th colspan="3">OPTION 2
Third Party Expense Ratio (10% Floor)</th></tr>
<tr><th>Eligibility</th><th>Income Calculation</th><th>Program Restriction</th></tr>
<tr><td>Maximum LTV
• 80% Purchase / Rate & Term
• 75% Cash-Out
Requirements:
• Tax professional license must be verified</td><td>Eligible business deposits × (100% – verified expense ratio)</td><td>Self-employed borrowers who prepare and file their own tax returns are not eligible for this program.</td></tr>
<tr><td colspan="3">Certain industries are not eligible for third-party expense ratio, including:
• Real estate investors
• Construction
• Restaurants / food service
• Lenders
• Retail / merchandise
• Markets
These businesses must use minimum 50% expense factor.</td></tr>
<tr><td colspan="3">Third-Party Expense Letter Requirements
The CPA / Tax Attorney / EA / CTEC letter must include:
• Confirmation the professional has:
  ○ Filed the most recent business tax returns, or
  ○ Audited financial statements, or
  ○ Reviewed borrower-provided working papers
• Attestation of business expense ratio as a percentage of gross revenue
  ○ Minimum 10%
  ○ Must be reasonable for the industry
• Confirmation the expense ratio accurately represents business cash expenses
• Verification of the borrower's ownership percentage
Letter standards:
• Must be on company letterhead
• Wet signed
• Must originate from the CPA office
• DocuSign or electronic signatures are not allowed
• No qualifying language permitted
Refer to Exhibit 1: SGCP Attestation Form (optional template).</td></tr>
</table>

10.4.3 AI BANK STATEMENT INCOME CALCULATION SERVICES

SG Capital Partners permits the use of the Laminr bank statement income tool to calculate eligible monthly deposits for Business Bank Statements. The Laminr result will be considered validated with the following conditions:

- A maximum of one bank account per business may be used to qualify
- Comingled accounts are not permitted
- Accounts with an end-of-month negative balance are not permitted and will require manual review
- Large deposits that represent greater than 50% of the average monthly deposits will automatically be marked as excluded from the Laminr analysis. If those large deposits can be explained via LOE and are consistent with the business profile, they may be included without manual review. If the LOE is sufficient, sourcing is not required.
    - See SG-Laminr Instruction Manual for details
- All other SG Capital Bank Statement guidelines apply

Note: If the review does not meet the criteria above, the use of Laminr remains permissible as an underwriting tool to aid in the validation of deposits and analysis of cash flow patterns. When outside the criteria above, Laminr findings alone do not confirm eligibility, but the data and insights Laminr provides may still be evaluated by underwriters in support of a comprehensive manual review. All final eligibility determinations (i.e. expense ratios) must remain consistent with SG Capital's established bank statement underwriting guidelines.

10.5 12/24 MONTH CPA/ENROLLED AGENT (EA)/CTEC PREPARED PROFIT & LOSS

- Max LTV 80% Purchase, 75% R&T; 70% Cash-Out Refinance
- Minimum 680 FICO
- $2.0MM Max Loan Amount
- Primary residence only
- Must be US based business
- Passive income from crowdfunding, real estate investors (with fewer than 10 residential units), venture capitalists, asset speculation, day trading and the like are considered ineligible forms of P&L income
- Self-Employed borrowers only
- Self-Employed defined as borrower(s) owning >=50% ownership of respective business
    - Ownership percentage must be documented via CPA/EA/CTEC letter, Operating Agreement or equivalent
    - P&Ls with expenses representing < 15 % of total revenue are ineligible
        - Expense factor must be reasonable for the industry
- Most recent 12- or 24-month Profit & Loss statement (P&L). The P&L end date must be less than 90 days old at closing
- All Profit & Loss statements must be completed by an independent CPA/EA/CTEC
- The CPA/EA/CTEC prepared P&L must be wet signed by both the borrower and CPA/EA/CTEC
    - The CPA/EA/CTEC preparing the P&L must have filed the borrower's most recent business tax return
    - CPA/EA must provide attestation that they prepared borrower's business tax returns and that are not related to the borrower or associated with borrower or borrower's business.
        - If the tax professional has not filed their most recent business tax return, the following must be provided:
            - Two months of business bank statements for the most recent two months reflected in the P&L
                - Bank statement deposits must support 80% of the monthly average revenue from the P&L. If the most recent 2 months of the bank statements do not support 80% of the gross revenue, continuous bank statements may be added to the analysis until the tolerance is met.
- The CPA/EA/CTEC must attest that they have performed either the following functions:
    - (i) Audited the business financial statements, **<u>or</u>**
    - (ii) Reviewed working papers provided by the borrower. The CPA/EA must also attest that, based on this review, they certify that the P&L represents an accurate summary of the business cash flow and applicable cash expenses.
- Non-cash expenses on the P&L can be added back (i.e.: depreciation, amortization, wages paid to borrower(s), etc.)
- CPA/EA/CTEC license must be verified
- Attestation may not contain qualifying language

- Self-employed borrowers who file their own tax returns are not eligible
- Minimum of 2 years self-employment in the current profession
  - Validation of a minimum of 2 years existence of the business from one of the following: Business License, Letter from Tax Preparer, Secretary of State Filing or equivalent
- Borrower narrative on nature of business required
- An internet search of the business is required with documentation to be included in the credit file to support the existence of the business
- Employment verification documentation must be consistent with information on the loan application and borrower's credit report
- Tax preparer letters prepared by PTINs are ineligible for all programs
- May only be used as a supplemental source of income if business can be validated via third-party records limited to Government and Regulatory Filings, Tax and Financial Documents, Commercial and Credit Data Providers, Industry and Trade Associations, Public Records and Legal Filings. CPA attestation alone is not sufficient.

10.6 WRITTEN VERIFICATION OF EMPLOYMENT

- Max LTV 80% Purchase; 70% R/T / Cash Out; Min 680 FICO
- $1.5MM Max Loan Amount
- Prime Connect Only
- Primary Residence Only
- FTHB – Max 70% LTV
- Wage Earners Only
- Two years history of employment in the same industry and 1-year continuous employment at the current job

Documentation:

- A Written Verification of Employment (FNMA Form 1005) can be utilized when the only source of earnings is wages/salary
- FNMA Form 1005 must be fully completed by Human Resources, Payroll Department, or an Officer of the Company. The form must be sent and received directly from the employer
- Verification of delivery and receipt of FNMA Form 1005 must be in the file
- Verification of delivery and receipt of the FNMA Form 1005 must comprise the following form of documentation: Physical mail, Fed-Ex, facsimile, or email communication. Physical mail, Fed-Ex, and facsimile must come directly from the employer's address. An email communication must properly identify the Company representative
- Borrower(s) employed by a family member, or related individuals are ineligible
- FNMA form 1005 must contain the following:
  - Dates of employment
  - Position
  - Prospect of continued employment
  - Base pay amount and frequency
  - Gross Earnings: year to date plus last two year's earnings, or at least one-year earnings if current job is less than two years
  - Bonus
  - Overtime
  - Tips
  - Commission Income
  - Paystubs, Tax Returns, 4506-C, or W-2's not required
- A Verbal Verification of Employment (VVOE) must be performed within ten business days prior to the closing date
- A borrower who is no longer employed at the same employer listed on the initial 1003 will not be eligible for purchase by SG Capital
- VVOE should include the name of contact at the place of employment, phone number and title along with company name, address and Borrower's job description and title. Verbal verification of employment for previous jobs within the past two years
- Employment Verification documentation must be consistent with information on Borrower's credit report

- Qualifying income is the lower of the income disclosed on the FNMA Form 1005 or monthly income disclosed on the initial 1003 signed
- Evidence business is active via Secretary of State

10.7 ASSET DEPLETION

- The depletion of financial assets will be considered as borrower income to qualify for their monthly payments. The unrestricted liquid assets can be comprised of stocks/bonds/mutual funds, vested amount of retirement accounts and bank accounts.
- This can be combined with other sources of income (i.e. rent, pension, social security etc.) self-employment and W2 income
- All accountholders must be borrowers on the loan
- Gifts for any purpose are ineligible
- Non-occupant co-borrowers - ineligible

<u>Program Requirements:</u>

- Primary and 2nd home - Maximum LTV/CLTV of 80%
- Investment Property – Max LTV/CLTV of 65%
- Requirement
  - Borrowers must have a minimum of the lesser of
    (i) $1mm in Qualified Assets OR
    (ii) 1.25 times the loan balance Qualified Assets, but never less than $250k liquid assets when asset depletion is the only source of income to qualify
- Cash Out – Max 60% LTV/CLTV
  - Cash out proceeds may not be used as qualified assets
  - Reserves not required

<u>Assets:</u>

- When asset depletion is used as a supplemental source of income, the minimum asset requirement is waived. Max DTI is 45%
  - Assets used for qualifying must be seasoned 120 days
    - Seasoning is not required if assets are from the sale of business, inheritance, or legal settlement etc. Documentation verifying ownership of assets is required. Cash out from delayed financing is eligible with proper documentation.
  - <u>Net Assets:</u>
    - If the assets or a portion of the assets are being used for down payment or costs to close, those assets should be excluded from the balance before analyzing a portfolio for income qualification.
  - <u>Qualifying Assets:</u>
    - Net assets multiplied by the following percentages:
      - 100% Checking/savings/money accounts, cash value/surrender value of Life Insurance
      - 80% of the remaining value of exchange traded stocks/bonds/Mutual Funds/Annuities
      - 75% of the remaining value of privately traded stock from companies with greater than $10bn Post-Money Valuation via Forge Global (https://forgeglobal.com/search-companies/)
      - 100% for all vested retirement assets when borrower is aged 59 ½ +
      - 70% for all vested retirement assets when borrower is aged <59 ½
      - 60 % for equity in Real Estate
        - Minimum 20% equity required. Value determined by AVM or BPO
        - Most recent mortgage statement required
        - Equity must be haircut at 60%
        - Max 1 property and minimum 12 months ownership
        - Can't be used as a sole source of Asset Depletion income. Borrower(s) must hold at least one other qualifying asset with minimum net value of $250,000
        - AVM must be from an approved vendor listed below with a confidence score of 90%+ and FSD <= 0.15. Approved vendors:
          - Clear Capital
          - Collateral Analytics
          - CoreLogic
          - First American (Procision)
          - Homegenius Real Estate
          - HouseCanary
          - Quantarium Group
          - RicherValues
          - Veros Real Estate Solutions, LLC

- Qualifying Income:
  - Qualified assets with depletion draw schedule of 5 years (Qualified Assets divided by 60).

ELIGIBLE ASSETS

Asset Type	Qualifying Amount
Checking, Savings, Money Market Accounts, Cash value/surrender value of Life Insurance, Equity Proceeds from concurrent sale (FinTechs ineligible)	100%
Retirement Accounts (401(k) IRA, SEP, KEOGH) when borrower is aged 59 ½ +	100%
Retirement Accounts (401(k) IRA, SEP, KEOGH) when borrower is aged <59 ½	70%
Annuities*, Mutual Funds, Publicly Traded Stocks and Bonds	80%
Privately Traded Stocks w/ greater than $10bn Post-Money valuation via Forge Global	75%
Equity in Real Estate (see guides above)	60%

  - Annuities are permitted with attestation from borrowers' asset manager or account representative confirming terms, penalties etc.
  - If a distribution plan has begun, the asset account is not eligible for Asset Depletion

INELIGIBLE ASSETS

- 529 accounts
- Accounts pledged as collateral on another loan (Even $0 balance and/or undrawn)
- Assets titled in an irrevocable trust
- Below investment grade corporate and municipal bonds
- Business Funds
- Cash out refinance proceeds
- Custodial accounts
- Deferred compensation
- Crypto currency unless seasoned and liquidated to US dollars
- Escrow accounts
- Foreign funds
- Gift Funds
- Health Savings Accounts
- Non-Financial assets (collectibles, stamps, coins, artwork, etc.) unless liquidated
- Non-liquid assets (automobiles, artwork, business net worth, etc.)
- Non-regulated financial companies
- Non-vested restricted stock units
- Privately held stock unless it meets the criteria above
- Stock options
- SBA loans and paycheck protection funds

10.8 SUPPLEMENTAL INCOME SOURCE REQUIREMENTS WHEN TAX RETURNS ARE NOT REQUIRED

- When using component sources for a single borrower, pricing and qualification is based on the worst-case document type. i.e.: If borrower is using tax returns and Asset Depletion to qualify, Asset Depletion pricing and Matrix limitations apply
- **Joint Accounts** - A joint personal account with a non-borrowing spouse or domestic partner can be used for qualifying as follows:
  - If not contributing income/deposits, it must be validated by a borrower affidavit
  - If contributing income/deposits, source must be clearly identified (direct deposit, SSI, trust income) and amounts must be subtracted from the analysis
  - Relationship letter must be present in file
- **Component Sources of Income** - A borrower who has a self-employed business and also receives income from other sources is eligible for the bank statement program. Income sources include but are not limited to rental properties, trust & investment, alimony, etc. These income sources must be separately documented on the 1003 and must be separately supported by bank statement deposits.
- Rental Income (OREO):
  - A current lease is required for all REO income properties
    - Evidence that lease is market rent is required (Internet rental searches are allowed)
  - Proof of receipt of current month's rent
  - Must provide proof of ownership
  - If the lease is not available, market rent must be obtained
  - No vacancy factor required
  - If current lease exceeds market rent, the borrower may use that amount up to 120% of the market rent with the most recent 3 months of evidence of rent receipts
- Trust Income:
  - Income from trusts may be used if constant payments will continue for at least the first 3 or 5 years of the mortgage term as evidenced by trust income documentation. 5 years required if income source is > 50% of loans total qualifying income
  - Trust Agreement required confirming amount, distribution frequency, and duration of payments
- Alimony Income/Child Support:

  - Final Divorce decree or legal separation agreement required. It must be finalized and accepted by the court
  - Must provide payment evidence of 6 months via cancelled checks, deposit slips, or bank records
- Note Receivable Income:
  - Copy of the note confirming amount and length of payment
  - Must provide payment evidence of 12 months via cancelled checks, deposit slips, or bank records
- Royalty Payment Income:
  - Royalty contract, agreement, or statement confirming amount, frequency, and duration of the income –must document a 3-year continuance
  - Must provide payment evidence of 12 months via cancelled checks or bank records/deposits
- Retirement Income:
  - The following types of income documentation are required:
    - Copy of award letter or letters from the organizations providing the income and,
    - Most recent 2 months of bank statements showing deposit of funds
- **Self Employed/Wage Earner Combination -** Joint borrowers with 1 wage earner and 1 self-employed business owner can verify income separately, with the self-employed borrower utilizing bank statements and the wage earner providing pay stubs/W-2s. The wage earner 4506C, 8821, or equivalent form is required

10.9 EMPLOYMENT & INCOME

10.9.1 ALIMONY AND CHILD SUPPORT

- Final Divorce decree or legal separation agreement required. It must be finalized and accepted by the court
- Must provide payment evidence of 6 months via cancelled checks, deposit slips, or bank records
- Alimony may be deducted from income for qualifying

10.9.2 BOARDER INCOME

- Allowable on full doc loans if income is declared on tax returns.

10.9.3 BONUS AND COMMISSION

- A 2-year average is required unless borrower recently moved to a commission basis. Consideration of > 1 year and < 2 years may be permitted based on FNMA guidelines.

10.9.4 CAPITAL GAINS

- 2 years of tax returns required and an analysis of post-closing assets' ability to produce capital gains

10.9.5 EMPLOYMENT HISTORY

- Employment is considered stable if the borrower has a 2-year work history in the same job or field. Written analysis may be provided justifying less than 2 years.
- A minimum of 6 months of employment is required unless recently graduated from school or completion of formal training.

10.9.6 EMPLOYMENT GAPS/EXTENDED ABSENCE

- The borrower must explain any employment gaps exceeding 30 days in the last 12 months
- Extended Absence – Must be employed for at least 6 months when returning from an extended absence (defined as 6 months) and must document (VOEs or W2s) a 2-year work history prior to an absence.

10.9.7 EMPLOYEE BUSINESS EXPENSES

- Employee business expenses reported on tax returns are actual cash expenses and must be deducted from income.

10.9.8 FAMILY-OWNED BUSINESS

- Provide copies of the borrower's signed federal income tax returns filed with the IRS if the borrower is employed by family members. Or provide evidence that borrowers have no ownership interest (e.g. corporate returns with ownership percentages.)

10.9.9 FOREIGN INCOME

- Foreign income is income earned by a borrower employed by a foreign government/company and not paid in US dollars. Acceptable utilization if the following criteria are satisfied:
  - 2 years US Tax returns reflect the foreign income
  - Income is translated to US dollars

  - Income documentation, stability and continuance requirements are met
  - Income from countries under OFAC sanctions is not permissible

10.9.10 FOSTER / IHSS / PARSONAGE

- Foster/IHSS/Parsonage eligible with 2 years history and 3-year continuance

10.9.11 GROSSING UP NONTAXABLE INCOME

- Non-taxable income may be grossed up 125%.

10.9.12 IRA/DISCRETIONARY RETIREMENT ACCOUNT DISTRIBUTIONS

- IRA distributions cannot be set up post application date unless the borrower is required to start withdrawing based on age (for IRA's). In such cases, 125% of the required minimum amount can be used to qualify.
- Distributions must have been received at least one month prior to application to be considered as eligible income. Distributions that have been received for 2 months or more can be adjusted with a letter from the plan administrator validating the increase.
  - Allowable increases of distribution amount are limited to 125% of previously received distributions. Continuance for 3 years at the proposed monthly amount is required
- Self Employed borrowers who contribute to their own self-funded pension as reported on the most recent filed tax returns are eligible to be added back as income.

10.9.13 NOTE RECEIVABLE INCOME

- Copy of the note confirming amount and length of payment
- Must provide payment evidence of 12 months via cancelled checks, deposit slips, or bank records
  - Notes with less than 12 months seasoning may be considered by underwriters, but never less than 9 months (e.g. sold a business and took back a note)

10.9.14 EMPLOYMENT OFFERS AND CONTRACTS

- A borrower scheduled to begin employment under the terms of an employment offer of contract may be eligible.
  - Document fully executed offer and acceptance
  - Provide a paystub that includes sufficient information to support the income used to qualify the borrower based on the offer or contract at time of funding
    - Income from the paystub provided and VVOE must align with the contract/offer used to qualify.
    - The offer must be non-contingent
      - If conditions of employment exist, confirm prior to closing that all conditions of employment are satisfied either by verbal verification or written documentation.
    - Document, in addition to the amount of reserves required for the loan transaction, one of the following:
      - 6 months PITI(A) OR
      - Reserves sufficient to cover the monthly liabilities included in the DTI, including the PITIA for the subject property, for the number of months between the note date and the employment start date, plus one. For calculation purposes, consider any portion of a month as a full month.
  - Variable income cannot be used to qualify

10.9.15 RESTRICTED STOCK UNITS

Restricted Stock and Restricted Stock Units (RSUs) are nontransferable and subject to forfeiture unless certain employment and performance conditions are met. Stocks must be publicly traded unless the criteria below for private stock is met.

Restricted Stock is a regular and reoccurring form of compensation granted to certain employees and executives.

Restricted Stock Units (RSUs) represent an unsecured promise by an employer to grant a set number of shares of stock to the employee. They are nontransferable and subject to forfeiture.

Restricted stock and RSU's may only be considered once they become fully vested. A vesting schedule must be provided to confirm future scheduled amounts and vesting dates.
If the vesting schedule supports a regular and reoccurring release of stock that supports the amount and continuance used to qualify, future allocations do not need to be fully vested at the time of the application.

Non-vested or restricted stock accounts are not eligible for use as down payment or reserves.

Private Stock can be used if typical for the company and with greater than $10bn Post-Money Valuation via Forge Global (https://forgeglobal.com/search-companies/)

Refer to Fannie Mae for full guidance on RSUs.

Documentation Requirements

- Current paystub, 2 years W2s and tax returns evidencing one-year history of receipt of restricted stocks. If not clearly identifiable on the W2s, year-end paystubs may also be required to identify receipt.
- If the borrower has less than two years with the current employer, the seller must document the borrower's prior employment compensation including restricted stocks, and the borrower has received at least one award with the current employer that is vested. The previous employment must have been a similar position and industry, and the issuance of restricted stock must be common for the industry.
- Vesting schedule to provide schedule of distribution of units and show no indications the borrower will cease to receive future restricted stocks at the same historical level.

Calculation of Income

- A one-year average of prior income received in RSUs or stock option OR
- Use of the lower value of the current stock price or a 52-week average of the stock price if no two year history of RSU with the current employer

10.9.16 RETIREMENT OR PENSION INCOME

- Borrowers of retirement age do not require proof of continuance if income is received from corporate, government or military retirement or pension.
- One of the following types of income documentation is required:
  - Award letter(s) from the organizations providing the income
  - Retirement award letter or benefit statement
  - Most recent personal income tax return with all schedules
  - Most recent W2 or 1099
    - Proof of receipt of one month of income
- If retirement income is paid in the form of a distribution from a 401(k), IRA, or Keogh retirement account, determine whether the income is expected to continue for at least three years after the date of the mortgage application.
- Eligible retirement account balances (from a 401(k), IRA, or Keogh) may be combined for the purpose of determining whether the three-year continuance requirement is met.
- Social Security income for retirement or long-term disability that the borrower is drawing from his or her own account/work record will not have a defined expiration date and must be expected to continue.
- However, if Social Security benefits are being paid as a benefit for a family member of the benefit owner, that income may be used in qualifying if the lender obtains documentation that confirms the remaining term is at least three years from the date of the mortgage application.

10.9.17 RENTAL INCOME

See 'Departing Residence' section for additional details

- This section applies to subject property rental income. For OREO income please refer to 'Supplement Income Source' section
- Negative rental income can be deducted from income rather than considered a liability (except departing residences and subject properties)
- Borrower may provide leases and proof of rent in lieu of tax returns.
- Rent-loss insurance required (6 months PITIA)
  - 6 months additional reserves beyond the program minimum allowed in lieu of rent loss coverage

10.9.17.1 CALCULATION

- **Purchase transactions** will be calculated at 100% of the market rent less PITIA.
- **Refinance**: Tax returns programs: rental is calculated from schedule E. When two years returns are provided, the most recent years rental income is used.
- **Refinance**: No tax return programs
  - Income derived from rental real estate is qualified by documenting the following:
    - Current lease on the REO. Must be at or below market rents. (Internet rental searches are allowed)
    - Proof of receipt of the most current month's rent
    - Calculate income or loss based on 100% of the lease less the documented PITIA
    - If current lease exceeds market rent, the borrower may use that amount up to 120% of the market rent with the most recent 3 months of evidence of rent receipts

10.9.17.2 SHORT TERM/VARIABLE RENTAL

- Examples: Airbnb – VRBO- HomeAway
- Qualifying Income for OREO is 80% of one of the following:
    - 12 months evidence of receipt via Service Provider payment receipt history deposits. Income is calculated based on average deposits over a 12-month history, including zero deposit months, or
    - If 12 months statements are not available, market rents for permanent tenants can be used (rent range, rentometer, etc.)
- Requires property ownership report and proof of property listing on Website
- Must be permitted in accordance with local ordinances
- Subject property short-term rental is permitted using long term annual rents to qualify. No STR income whatsoever is allowed ie: AirDNA, short-term 1007, short-term rental statements are all ineligible

10.9.17.3 RENT ROLLS

- Allowed for verification of rent received if provided by a third-party, disinterested property management company

10.9.18 SECOND JOBS

- Second job income is considered stable if received for 2 years and likely to continue. Less than 2 years acceptable but not less than 1 year.

10.9.19 TEMPORARY LEAVE INCOME

- The lesser of the borrower's temporary leave income (if any) or the regular employment income is used to qualify. Follow FNMA guidance.

10.9.20 TRUST INCOME

- Income from trusts may be used if constant payments will continue for at least the first 3 years of the mortgage term as evidenced by trust income documentation. Trust Agreement and Trust Asset Statement required
- Trust Agreement required confirming amount, distribution frequency, and duration of payments
- At least one distribution must have been made prior to close
- Borrower must be beneficiary of the Trust

10.10 VERBAL VERIFICATION OF EMPLOYMENT

- A VVOE is required for all wage earner borrowers and must be completed within 10 business days of the closing date.

10.11 INELIGIBLE INCOME

- Any income related to marijuana use regardless of local and state law
- Education benefits
- Gambling income including internet gambling
- Non-profit Entities
    - Non-profit wage earners are eligible but can't have ownership percentage of the business
- Rental income from a second home
- Trailing Spouse Income
- SBA loans or paycheck protection funds

11 ASSETS

11.1 DOCUMENTATION

- Asset Statements
    - Asset Depletion: 3 months statements
    - All other programs: 1 month statement
        - Statements not required for Cash-Out transactions which satisfy reserves
- All pages of the most recent required months statements, the most recent quarterly statement, or FNMA approved third party direct pull services.
- Exchange traded Stocks/Bonds/Mutual Funds – 100% may be used for reserves

- Vested Retirement Accounts – 100% may be considered for reserves
- If it is needed to close, verification that funds have been liquidated (if applicable) is required
  - If the borrower has >20% of funds needed to close remaining in the account, documentation of liquidation is not required
  - Secured borrower funds are allowed for down payment and closing costs (ex: HELOC and OREO)
- An LOE may be required on purchase transactions for large deposits (generally exceeding 50% of the total monthly qualifying income). If LOE sufficient, no sourcing required
- Earnest money deposit – Follow FNMA requirements. If needed to meet minimum borrowers' contribution, provide documentation
- A borrower, who is also the realtor on the subject property, may use commission earned (commission must be market rate – max 3%) towards the funds to close requirement
- Builder profits are not allowed
- Repayment of loans without bank records to show the initial loan disbursement is not allowed
- Non-borrowing titleholder or member of LLC/entity who is contributing assets. One month asset statement required. No gift letter required
- SBA loans or paycheck protection funds may not be used as assets, income, down payment, closing costs, reserves

11.2 BUSINESS FUNDS

- Business accounts may only be used to meet down payment and/or reserve requirements if:
  - 100% ownership of the business across borrowers OR
  - Shared ownership requires an access letter from partners allowing the use of the business funds by the borrower

11.3 GIFT FUNDS

- Purchase transaction only
- Primary Residence Only
- Borrowers must have 5% of their own funds documented but not required to use
  - Borrowers with no housing history must have 10% of their own funds documented but not required to use
  - If the above minimum borrower contribution % is not used towards the down payment, those funds can be used towards reserves
  - Must follow Fannie Mae's "Acceptable Donors" list
- Non-borrowing titleholder or member of LLC/entity who is contributing funds is not considered a gift, no gift letter required. One month asset statement required
- Non-borrowing spouses residing in property who are contributing funds are not considered a gift, no gift letter required. One month asset statement required
  - Gift of Equity from family members allowed up to 75% LTV/CLTV (Primary Only). Subject property mortgage rating from seller is required. Must be 0x30x12 and no DQ taxes

11.4 RESERVES

All Doc Types: R/T Refi, ≤ 60% CLTV, 0x30x12 – No reserves required
All Other Transactions/Scenarios:
Full Doc – 3 months (Full Doc, Express Doc, 1099)
Alt Doc – 6 months (Bank Statements, P&L, and WVOE)

- Reserves are calculated off actual P&I payment plus Taxes, Insurance, and HOA
- Cash Out may be used to meet reserve requirements
- Gift Funds used as reserves – see 'Gift Funds' section for details
- Assets being used for dividend and interest income may not be used to meet reserve requirements
- Restricted stock is ineligible to be used for reserves
- FLEX Connect – Per AUS

11.5 LIFE INSURANCE CASH VALUE

- Life insurance policy current cash value or loan against the cash value may be used for down payment, closing costs or reserves

11.6 FOREIGN ASSETS

- Funds required for down payment and closing costs must meet and clear US Bank regulatory requirements
- Any foreign assets used for verification and/or qualification should be transferred to a US Bank account if funds are being used for down payment and/or reserves

11.7 NON-BORROWING SPOUSAL ACCOUNTS/ ACCESS LETTERS

- Access Letters required for Bank Statement only
- Non-borrowing joint account holder affidavit is required to ensure no deposits by that non-borrower are included as income.

11.8 BITCOIN (CRYPTO CURRENCIES)

- Allowed for down payment, closing costs and reserves with evidence of ownership and liquidation to US dollars
- Reserves: Bitcoin and Ethereum are eligible sources of funds. Loan file must include a statement meeting the requirements under account statements to document ownership of the crypto holdings. Current valuation, within 30 days of the loan Note date, can only be determined from the Coinbase Exchange. 60% of the current valuation will be considered eligible funds.

11.9 SALE OF PERSONAL ASSETS

- Proceeds from the sale of personal assets are an acceptable source of funds for the down payment, closing costs, and reserves provided the individual purchasing the assets are not a party to the property sale transaction or the mortgage financing transaction. Documentation required supporting borrower ownership of the asset, independent valuation of the asset, ownership transfer of the asset and borrower’s receipt of sale proceeds

11.10 EMPLOYER ASSISTANCE

- Employer assistance in the form of a grant, direct fully repayable second mortgage, forgivable second mortgage or deferred payment second mortgage or unsecured loan, and shared appreciation down payment assistance are permitted. Funds must come directly from the employer, may be used for down payment/closing costs subject to minimum borrower contributions, may be used for reserves except for unsecured loans and are only eligible for primary residence

11.11 INTERESTED PARTY CONTRIBUTIONS – IPC / SELLER CONTRIBUTIONS

- All IPC calculations are based on purchase price
- Primary and Second Home:
  - 6% for LTV > 75%
  - 9% for LTV ≤ 75%
- Investment
  - Max 6%

11.12 TEMPORARY BUYDOWNS

A temporary buydown creates a funded buydown account that is used to temporarily reduce the borrower’s monthly payment during the initial year(s) of the loan. The Note Rate remains constant; only the borrower’s payment is reduced. The buydown is funded by interested party contributions (IPCs). The buydown cannot exceed IPC limits. The buydown fund contribution can only come from a Seller/Builder or third-party. The difference between the buydown payment and the payment required by the note rate is paid every month by the loan servicer held in an escrow account from the buydown funds that are collected at closing.

Buydown Types:

- 2-1 Buydown
  - Payment is calculated at 2% below the Note Rate for the first year
  - Payment is calculated at 1% below the Note rate for the second year
  - Payment calculated at the Note Rate for the years three through maturity
- 1-0 Buydown

- Payment is calculated at 1% below the Note Rate for the first year
- Payment is calculated at the Note Rate for the years two through maturity

Eligible Parameters:

- Primary Residence
- Purchase
- Seller/Builder and Third Party Funded subsidies
  - Third Party subsidies include Real Estate Agents and Brokerages; Funds from Borrower(s) are ineligible
  - Borrower, Lender, and Premium Pricing from the interest rate are not permitted
- 30-year and 40-year Fully Amortizing Fixed Rate only
- Borrower(s) must qualify based on the Note Rate without consideration of the bought down rate
- If reserves are required, the reserves must be calculated using the Note Rate
- Borrower(s) and Seller/Builder are required to sign the Temporary Buydown Agreement at closing
- The percentage of funds must be included in the interested party contribution limit.
  - To calculate the percentage of the buydown fund contribution, divide the buydown fund total by the purchase price

12 LIABILITIES

12.1 30-DAY ACCOUNTS

- 30-day accounts (AmEx) should be qualified using the full monthly payment or 3% for monthly accounts unless borrower documents balance can be covered by excess reserves.

12.2 ALIMONY SUBTRACTED FROM INCOME VS. INCLUDED AS DEBT

- Final Divorce decree or legal separation agreement required. It must be finalized and accepted by the court
- The monthly alimony obligation can be deducted from the consumer's gross income when calculating qualifying ratios

12.3 AUTHORIZED USER ACCOUNTS

- Authorized user accounts may be excluded from DTI.

12.4 BUSINESS DEBT

- Excludable if can be tied to business related activities (i.e. – vehicle) and 6 months (0x30) proof that business pays. Expense must be evident in business financials.

12.5 CONTINGENT LIABILITIES

- Non-mortgage contingent liabilities can be excluded from DTI if the borrower provides evidence that their business or another individual/entity has made payments for 6 months (0x30).
- Any liability related to separation or divorce can be omitted if ordered by family court. Documentation from the court is required.

12.6 DEPARTING RESIDENCE

- Departing residence positive rental income cannot be used as qualifying income. Departing residence PITIA can be offset by 85% of projected net rental income
- Departing residence rental that produces a loss must be included in DTI
- Document rents received via current lease and initial deposit, or if not available, market rent survey may be used (free online source permitted)
- Generally, borrowers may not own an additional single-family residence of equal or greater value than subject property.
- Significant equity in a departing residence (≥50% subject loan amount) should be considered in overall credit analysis and cannot be paired with an exception
- Borrowers with no investment properties retaining their departing residence require preapproval
  - Loans with payoff risk may be assessed 12-month EPO and/or subject to lock price cap at the discretion of SGCP
- Departing residence obligation can be excluded if the property is under contract and meets the following:
  - A copy of an executed sales contract for the property pending sale and confirmation all contingencies have been cleared/satisfied. The departure transaction must close within 90 days of the subject transaction. The pending sale transaction must be arm's length

- No appraisal required for departure residence. The borrower must be netting a positive number from the sale of the property or assets must be accounted for to cover any funds the borrower may have to bring to closing on the sale of the departure residence.

12.6.1 DEPARTING RESIDENCE EXCLUSION RULE

- Currently listed or signed letter of intent from Borrower indicating they intend to list and sell the departure residence for sale within ninety (90) days of closing on subject transaction
- Equity in the departure residence must be documented with a 2055 exterior appraisal or full appraisal. Departure residence must have a minimum of twenty (20%) equity after deduction of outstanding liens to exclude the payment from the DTI. If there is less than twenty (20%) equity, the full payment must be included in the DTI
- Required reserves for the departure residence are based on the marketing time indicated by the departure residence appraisal:
  - If appraisal indicates marketing time of six (6) months or less = twelve (12) months PITIA
  - If appraisal indicates marketing time over six (6) months = twenty-four (24) months PITIA
  - The greater PITIA between the subject property and the departing is utilized to calculate additional reserve requirement

12.7 LEASES

- Vehicle lease payments must be included in DTI, regardless of the number of payments remaining
- Turning in a vehicle early to exclude the payment from the DTI is not allowed

12.8 PROPERTY TAX ESTIMATES

- New Construction: Property taxes should be calculated using 1.5% of sales price for qualification (1.25% in California) or documented tax rate from municipality.
- Purchase and Refinance: Use current tax amount per title or tax card.
  - CA Purchases use 1.25% of purchase price or documented tax rate from municipality. Do not use property tax amount of current owner.

12.9 PAYOFF / PAY DOWN OF DEBT TO QUALIFY

- Installment and revolving debt paid at closing may be excluded from the debt-to-income ratio with:
  - A credit supplement OR
  - Verification from the creditor liability is paid in full or evidence of payoff on Closing Disclosure
- Cash out proceeds may be used to pay off or pay down debt to qualify at closing.
- Installment loans may be paid down to less than 15 payments

12.10 STUDENT LOAN

- Student loans that are deferred beyond 12 months may be excluded from DTI calculation. Student loans that are deferred < 12 months or in repayment status must be included in the DTI calculation.
- Loans in repayment - If a payment amount is not identified, .5% of the current loan balance may be utilized.
- Affordability based payments may be used

13 PROPERTY

13.1 APPRAISAL

General Requirements

PRIME Connect	Loan amount ≥ $2,000,000 and >65% LTV/CLTV - 2 full appraisals
PLUS Connect	Loan amount ≥ $2,000,000 and >65% LTV/CLTV - 2 full appraisals
FLEX CONNECT	Follow applicable Prime or Plus Connect requirements FNMA PIW and FHLMC waivers are not permitted
HPML Flips	HPML flips require 2nd full appraisal

- An appraisal prepared by an individual selected or engaged by the borrower, property seller, real estate agent, or any other interested party is not acceptable.

Transferred Appraisals

- Transferred appraisals are permitted, unless the appraisal was ordered by the borrower or an affiliate of the property seller.

- Loan amounts greater than $1,000,000 are subject to additional scrutiny and are recommended to be submitted prior to closing .

Property Type Requirements

- For 2 to 4 unit properties, a FNMA Form 1025 Small Residential Income Property Appraisal Report is required.

Inspection Requirements

- Interior inspections are required, including photographs, in accordance with USPAP guidelines.

Zoning and Property Conditions

- Legal non conforming properties must clearly state that the subject property can be rebuilt if severely damaged or destroyed.
- Negative property influences must be disclosed and appropriately adjusted by the appraiser. These include, but are not limited to:
    - Water towers
    - Cell towers
    - Gas station
    - Railroad track
    - Landfills or dumps
    - Auto repair shops
    - Auto sales lots
    - Highway overpasses
    - On ramps and off ramps
    - Billboards or advertisements
    - Airport
    - Hospitals
    - Police and fire stations
- Properties with significant negative influences are not automatically ineligible. Examples may include:
    - Areas with high foreclosure or distressed sale activity
    - Street scenes with excessive litter
    - Proximity to boarded homes
- For properties with unpermitted additions, the appraiser must determine whether the addition was completed in a workmanlike manner
- Hybrid appraisals are permitted. Refer to the “Hybrid Appraisal” section for details.

Market Conditions

- Declining markets require a 5% reduction from the maximum LTV for which the borrower otherwise qualifies.
    - Floor:
        - 75% for purchases
        - 70% for refinances

Valuation Review

- SG reserves the right to review all valuation reports and determine whether the subject property value is supported
- A desk review variance of 0.0% may not be used as a compensating factor
- Truncating acreage to meet acreage limits is not permitted
- Reconsiderations of Value for value or rent must be submitted to SG for pre-approval

Additional Evaluation Standards

- Row homes are subject to additional scrutiny, particularly when combined with significant negative property influences.
- SG reserves the right to purchase at its sole discretion.
- If the appraisal includes fewer than two comparable sales within five (5) miles of the subject property, submission to SG for pre-approval is recommended.

Appraisal Standards

- The appraisal must conform to Fannie Mae guidance, including but not limited to:
    - Definition of Market Value
    - Lender Responsibilities
    - Unacceptable Appraisal Practices
- At least two comparable properties must have been exposed to the MLS.
- Generally, there should be at least two comparable properties located within one mile of the subject property, unless adequately explained.
- Excessive line, net, and gross adjustments should be closely reviewed.

Appraiser Eligibility

- Refer to SG Capital's exclusionary list of appraisers and interested parties located in the SG Resource Document. Please contact your sales representative with any questions.

13.2 HYBRID APPRAISALS

A hybrid appraisal is a type of desktop appraisal in which the inspection portion and report creation are handled by two separate parties. The work of physically inspecting the property is handled by a third party other than the appraiser, this can often be another licensed appraiser, a home inspector, or some other real estate professional. They gather all the property information as well as photos and transfer the data to a state licensed or certified appraiser who then creates a desktop valuation based on additional research of the property and the market in conjunction with the information supplied from the inspection.

<table>
<tr><th>Approved Vendors</th><th colspan="2">SGCP Approved Vendors</th></tr>
<tr><td>Hybrid Appraisal Type</td><td>Purchase, Rate-Term, Cash Out</td><td>Interior Hybrid Appraisal signed by a state licensed/certified appraiser.</td></tr>
<tr><td>Max Loan Amount</td><td colspan="2">$1,500,000</td></tr>
<tr><td>Min FICO</td><td colspan="2">680</td></tr>
<tr><td rowspan="2">Property Types</td><td>Eligible</td><td>Ineligible</td></tr>
<tr><td>• SFR 1-4 Unit
• Condo
• PUD</td><td>• Rural
• Leaseholds or Properties on leased land
• Irregular or non-residential zoning
• Atypical or extremely custom homes
• Properties on acreage - 5+ Acres
• Properties in need of major repairs
• Condotels
• New construction PUDs / Condos
• Properties subject to inspection
• HPML</td></tr>
<tr><td>Max LTV/CLTV</td><td colspan="2"><table>
<tr><th></th><th>Purchase</th><th>Rate-Term</th><th>Cash Out</th></tr>
<tr><td>Owner Occupied</td><td>75%</td><td>70%</td><td>60%</td></tr>
<tr><td>2nd Home</td><td>70%</td><td>70%</td><td>60%</td></tr>
<tr><td>Investment</td><td>70%</td><td>65%</td><td>60%</td></tr>
</table></td></tr>
<tr><td>Compliance</td><td colspan="2">Both interior and exterior hybrid products offered are FIRREA compliant as the actual valuation product delivered is signed by a state licensed or certified appraiser.</td></tr>
</table>

13.3 REVIEW APPRAISALS

- A secondary valuation review product is required for all loans
- SGCP will accept one of the following review products:
  - **Fannie Mae Collateral Underwriter (CU) or Freddie Mac Loan Collateral Advisor (LCA)** with a score of 2.5 or less, documented in file with a copy of the Submission Summary Report (SSR)
    - If the score exceeds 2.5, an additional secondary valuation product is required
    - If both CU and LCA are run, they must be done at the same time; only one needs to have a passing score
  - **Automated Valuation Model (AVM)** which has a value by an approved vendor supported within 10% of the original value and with a confidence score of 90%+ and an FSD <= 0.15. Approved Vendors:
    - Clear Capital
    - Collateral Analytics
    - CoreLogic
    - First American (Procision)
    - Homegenius Real Estate
    - HouseCanary
    - Quantarium Group
    - RicherValues
    - Veros Real Estate Solutions, LLC
  - **Desk Review Product** from one of SGCP's approved vendors that reports a value within +/-10% of the original appraisal value. For loans at 90% LTV, the desk review value may not exceed a +/-5% variance from the appraisal value
    - Approved Desk Review Vendors:
      1. Consolidated Analytics
      2. Clear Capital

3. ServiceLink
4. Stewart Valuation Intelligence, formerly known as Pro Teck
5. Summit Valuations
   - If the desk review product reports a value outside of the allowed variance from the original appraisal value or is unable to determine a value, sellers must obtain a field review or second appraisal
- **Field Review** that reports a value within +/-10% of the original appraisal value
  - Field review may not be completed by the same appraiser or appraisal company as the original appraisal report
  - If the field review reports a value outside of the allowed variance from the original appraisal value, sellers must obtain a second appraisal
- **Second Appraisal**
  - May not be completed by the same appraiser or appraisal company as the original appraisal report
- When two appraisals are obtained for a loan, no additional review product is required. LTV must be calculated based on the lower of the two appraisal values

13.4 PROPERTY TYPES

Eligible	▪ SFR/Condo/PUD ▪ 2-4 Unit ▪ Rural Properties ▪ Modular/Prefabricated/Panelized or sectional housing ▪ Mandatory Country Club Fee: Cannot exceed 10% of the purchase price (golf resort) ▪ Warrantable Condo	▪ Non-Warrantable Condo ▪ Live/Work Condo ▪ 20 Acre Maximum (Truncating to meet acreage limit is not permitted) ▪ Minimum Square Footage – 500 sq ft per unit – No kitchenettes ▪ Co-Op ▪ Island properties (Must have year-round public access)
Ineligible	▪ Assisted Living/Continuing Care Facilities ▪ Barndominiums ▪ Bed & Breakfast ▪ Boarding Houses/Individual Room Leases ▪ Builder Model Leaseback ▪ C5 or C6 property condition grades ▪ Commercial Zoned (Unless Condo) ▪ Community Land Trusts (Can't refi out) ▪ Condotels ▪ Fractional Ownership/Time Shares ▪ Geodesic Domes ▪ Native American Leased Land ▪ Lava zones (unless adhered to FNMA)	▪ Leased land if lease term does not exceed term of loan by 5 years ▪ Log Homes or Log Home Characteristics ▪ Manufactured Homes ▪ Mixed-Use ▪ Properties under construction ▪ Shouses ▪ Tenants in Common ▪ *Mandatory Rental Pools ▪ Unique Properties ▪ Working Farms ▪ Zoning violations ▪ Industrial zoning ▪ Builder inventory
*A rental pool in which the HOA also requires a certain # days the property needs to be made available for the HOAs rental team to offer out is ineligible.		

13.4.1 RURAL PROPERTIES/AGRICULTURAL PROPERTIES

- Eligible for PRIME, PLUS, and FLEX:
  - Max 20 acres
  - No income producing attributes
  - Properties with acreage > 10 are subject to max 80% CLTV

A property is generally considered rural when any of these characteristics are present:

- Zoned Rural, RA, Agricultural, or no zoning
- Appraisal is marked Rural
- No paved service road
- Properties considered rural as designated by the CFPB

13.4.2 COMMERCIAL INFLUENCE

Ineligible Properties near Commercial Influence:

- Environmental Hazards with potential impact to health and safety
- Industrial factory
- Located in an area not conforming to the neighborhood (i.e., few residential properties in density)
- Power plants

Appraisal Requirements for Homes near Commercial Influence

- Minimum 1 comparable with similar commercial influence
- Commercial influence adjustments if all comps are not located within the commercial influence

13.4.3 CONDOS

- This section applies to both Warrantable and Non-Warrantable Condos
- UW attestation clearly stating whether the project is warrantable or non-warrantable must be delivered with the file (A comment on the 1008 suffices)
- The condo project review must be in accordance with the FNMA Seller Guide
  - Must ensure there are no Ineligible Projects characteristics as defined by Fannie Mae, including projects in need of critical repair (such as a project that failed to pass state, county, or other jurisdictional mandatory inspections or certifications (such as the Florida 30-Year Certification) specific to structural safety, soundness, and habitability), or the project would be considered non-warrantable and the non-warrantability characteristic must be listed as allowed per the below Non-Warrantable Condos eligibility table
- Seller to perform project review and designate as warrantable/non-warrantable
- State Condominium Requirement
  - California **Balcony Bill – SB326**: An inspection is required for projects with wood deck, balcony, stairway, walkway, or railing elevated more than 6 feet above the ground. Projects with an unacceptable or no inspection are ineligible.
  - Florida – Projects over 30 years old or 25 years if within 3 miles from the coast, a structural inspection within every 10 years is required for projects 3 stories or higher.
    - Inspection must confirm no conditions severe enough to affect the safety, soundness, structural integrity or habitability of the improvements
    - Projects with unacceptable or no inspections are ineligible

No Project Review	• Detached condos • 2- to 10-unit projects
Full Review	• All new projects • All Non-Warrantable Condos

13.4.4 LIVE/WORK CONDO

Eligible for PRIME, PLUS and FLEX Connect
Follow FNMA guidelines

13.4.5 NON-WARRANTABLE CONDOS

Non-Warrantable Condos – Limited to two (2)	
Allowable Features:	
Max LTV	80% Max LTV in All Programs
Presale	At least 30% of the units must be sold or under bona fide contract
Commercial Space	Up to 50%
Recreational Leases	Eligible
Single Entity Ownership	A single entity can own up to 30% of units
Delinquent HOA	Up to 25%
Master Coverage Deductible	Up to 10% allowed
Reserves	Minimum 10% required
Mandatory Memberships	Cannot exceed 10% of purchase price
Ineligible Features/Requirements for Non-Warrantable Condos:	
Material Litigation - Structural/Functional litigation against developer	Ineligible
Insurance Coverage	Coverage amount less than full replacement amount is ineligible (Actual Cash Value is not permitted except for the roof)
Newly Converted - Non-full gut rehabs	Ineligible
Flood Insurance	Projects in a flood zone with no master flood coverage are ineligible. Borrower individual policies are not acceptable
Project Completion	Project must be 100% complete and HOA turned over

13.5 DISASTER POLICY

Post Disaster Inspections are required if a property is in a declared area and appraisal predates the disaster. Listings can be found by visiting: https://www.fema.gov/disasters

13.6 ACCESSORY DWELLING UNITS - ADU

Appraisal Requirements

- The appraiser must confirm that the ADU is typical for the area and support this conclusion with comparable properties.
- Rental income from the ADU may be used to qualify if supported by:
  - Comparable properties in the appraisal that include permitted accessory units,
  - The appraisal's market rent survey, and
  - A lease agreement with one month evidence of rental income receipt.
  - For purchase transactions, the borrower must provide an attestation regarding their intent to rent the ADU.

ADU Income

- ADU income from a primary home is eligible with 3 months evidence of receipt and 1007 to support. If lease is greater than market, the lease can be used up to 120%

Unpermitted ADUs

- Unpermitted ADUs must be completed in a workmanlike manner and be consistent with the subject property.
- Rental income from unpermitted ADUs may not be used for qualification.
- Unit should not jeopardize potential future hazard insurance claim(s)

Zoning and Property Requirements

- The ADU must conform to all applicable zoning laws and regulations.
- Minimum size requirement: 400 square feet.

Multiple ADUs

- Multiple ADUs are permitted, subject to the following:
  - The total unit count, including the primary residence and all ADUs, may not exceed four units.
  - The configuration must be common for the area and supported by at least two comparable properties within five miles.

Ineligible Properties

- ADUs are not permitted on four (4) unit properties.
- Manufactured home ADUs are not permitted.

13.7 SOLAR

- Properties with solar panels are eligible for purchase, however, should not be included in property valuation.
- Solar panel agreements are permitted in accordance with FNMA guidelines

13.8 AGRICULTURAL ZONING

- May be eligible when all the following exist:
  - The highest and best use of the subject property is residential
  - Subject property is used as a residence and is typical for the neighborhood or market area
  - The appraiser adequately demonstrates that the subject neighborhood is residential in nature
  - Residential use is permissible under the zoning and land use regulations
  - Property adheres to the maximum acreage standards
- The appraiser must also provide details of any outbuildings on the property:
  - Size of the outbuildings
  - Are the outbuildings being used for a special purpose
  - Do the comparable sales have similar outbuildings
  - Is the property residential in nature – no agricultural or commercial use

No value should be given to any auxiliary buildings.

14 TITLE AND CLOSING

- Short form title policies are allowed

- Preliminary title report must include plat map and survey (as required), and final loan amount
- Title Exceptions – Refer to Fannie Mae

14.1 DEED RESTRICTIONS

- Deed restrictions that affect transferability of a property are not allowed. Age Restricted communities are allowed.

14.2 SOLAR/PACE/HERO LOANS

- Solar leases are allowed if the lease payment is included in the DTI, the equipment owner is responsible for any damage because of installation/removal/defect/malfunction, and equipment owner is not listed as loss payee on the insurance policy. Must conform to FNMA.
- Borrower to provide copy of lease for refinance. Purchases require copy of the lease reflecting in borrower's name to show they qualified for the transfer of solar lease.
- Power purchase agreements are eligible. It is not necessary to be included in DTI. Must conform to FNMA.
- PACE loans (or any similar loans with payments that are included in property taxes) are not eligible to remain on title; must be paid off through closing.
- Payoff of PACE/HERO will be treated as a rate and term.

14.3 POWER OF ATTORNEY

- Limited Power of Attorney (POA) is acceptable for executing closing documents, is specific to the transaction, contains an expiration date, initial 1003 is signed by the borrower executing the POA.
- Not permitted on cash-out
- A LOE describing the reason for using a POA is required

14.4 HYBRID CLOSINGS

SG will purchase loans using a Hybrid closing method in only certain circumstances.

- E-signed documents may be delivered for all documents in the file with the following exceptions:
    - Original wet signed note and associated endorsement/allonge.
    - Original wet signed mortgage and associated assignments
    - Original wet signed notarized documents along with wet signed notarization
    - Documents that must be dated the same day as a wet-signed document should also be wet signed (e.g. rights of rescission)

14.5 E-SIGNATURES

- E-signatures are permitted except for the following documents: Note, Mortgage, Deed of Trust, Power of Attorney, Riders/Addendums, Personal Guaranty, and any state regulated disclosures. These documents require a wet signature.

14.6 ESCROW HOLDBACKS

- Escrow Holdbacks are not allowed

Exhibit 1

TAX PROFESSIONAL ATTESTATION

Tax Professional Information

Business Name: ______________________________

Business Address: ______________________________

Email: ______________________________

Phone: ____________________

CTEC/CPA/EA #: ________________

Borrower Information

Borrower Name: ______________________________

Business Name: ______________________________

Business Address: ______________________________

Ownership Percentage: ____________

Did you file the borrower's most recently filed business tax return? Yes ◯ No ◯

Do you have any relationship to the borrower or any association with the business? Yes ◯ No ◯

- If yes, please explain: ______________________________

Have you performed either the following functions:

- Audited the business financial statements, or Yes ◯ No ◯
- Reviewed working papers provided by the borrower Yes ◯ No ◯

What is the business expense factor as a percentage of gross revenue? (10% floor for bank statements; 15% floor for P&L) ____________

Does this expense factor represent an accurate summary of the business's applicable cash expenses?

Yes ◯ No ◯

Additional Comments:

Print Name: ______________________________

Signature: ______________________________

Date: ____________________

* Must be wet signed, DocuSign not allowed
** Please send Tax Professional license with this attestation
*** Self-Employed borrowers who file their own tax returns are not eligible